Economics
March 13, 2026

Signs of Caution in January Consumer Spending Even Ahead of Iran Conflict

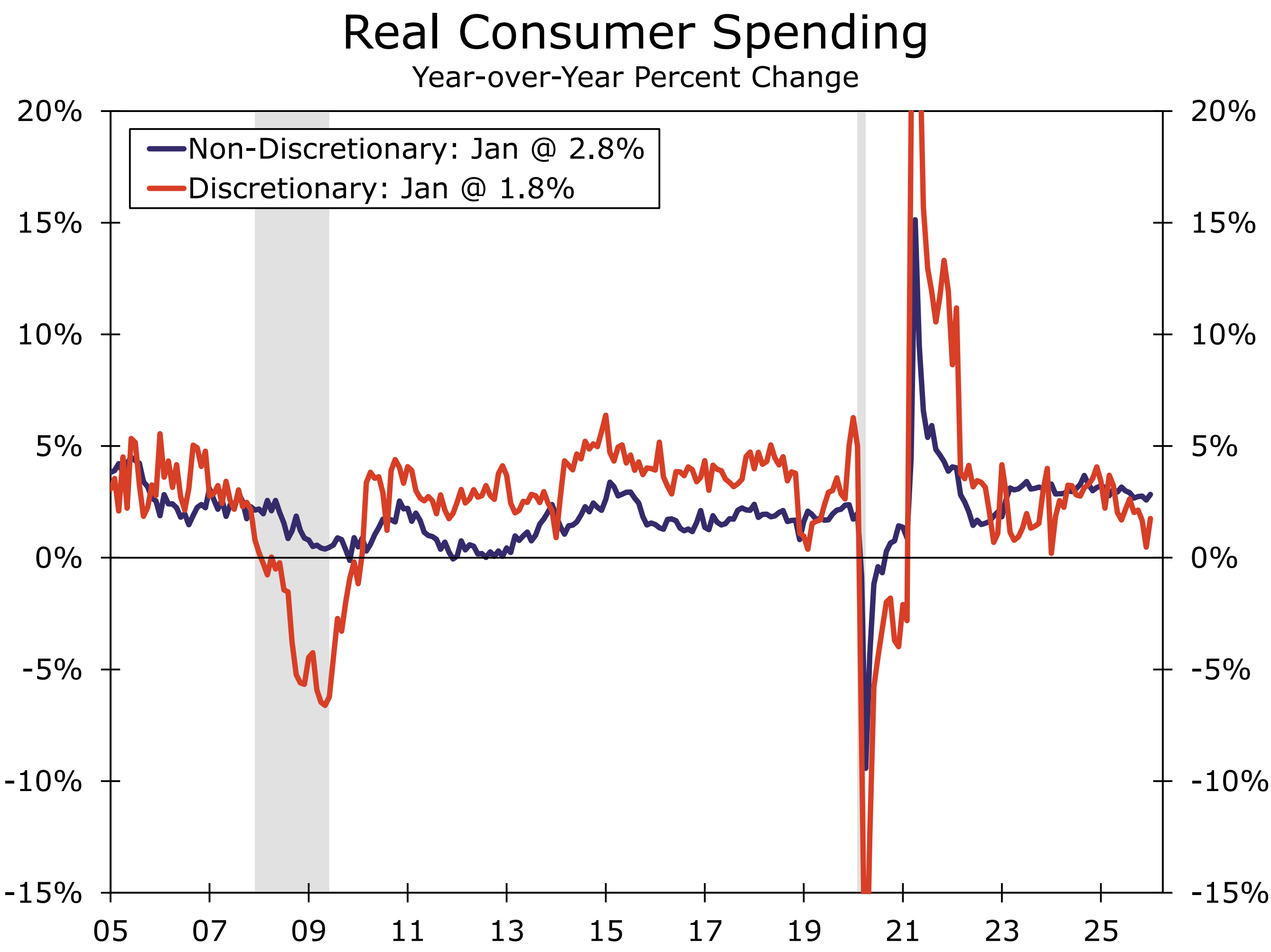
Economic Indicator

Economist(s)


Tim Quinlan


Shannon Grein

- The January personal income and spending data feel even more dated in the wake of the ongoing conflict in Iran. Consumer spending momentum continued at the start of the year, but a modest pullback in discretionary services categories of spending signals some signs of caution among consumers, even ahead of the recent oil-price shock.
- Strong growth in wages & salaries in January was an encouraging sign, and together with the annual social security cost-of-living adjustment, helped propel real disposable income growth, or purchasing power of households, to grow at the fastest monthly pace in about three years.
- The modest 0.1% gain in real spending combined with some modest downward revisions to Q4 real personal consumption expenditures growth suggests real spending is tracking at a slower annualized clip (~1.5%) than we currently have forecast (1.9%) in Q1.
- Consumer inflation remained contained at the start of the year. But the ongoing conflict in Iran is likely to dent households' purchasing power in coming months amid higher gasoline prices, and we've marked down our consumer spending forecast in our recent update as a result.



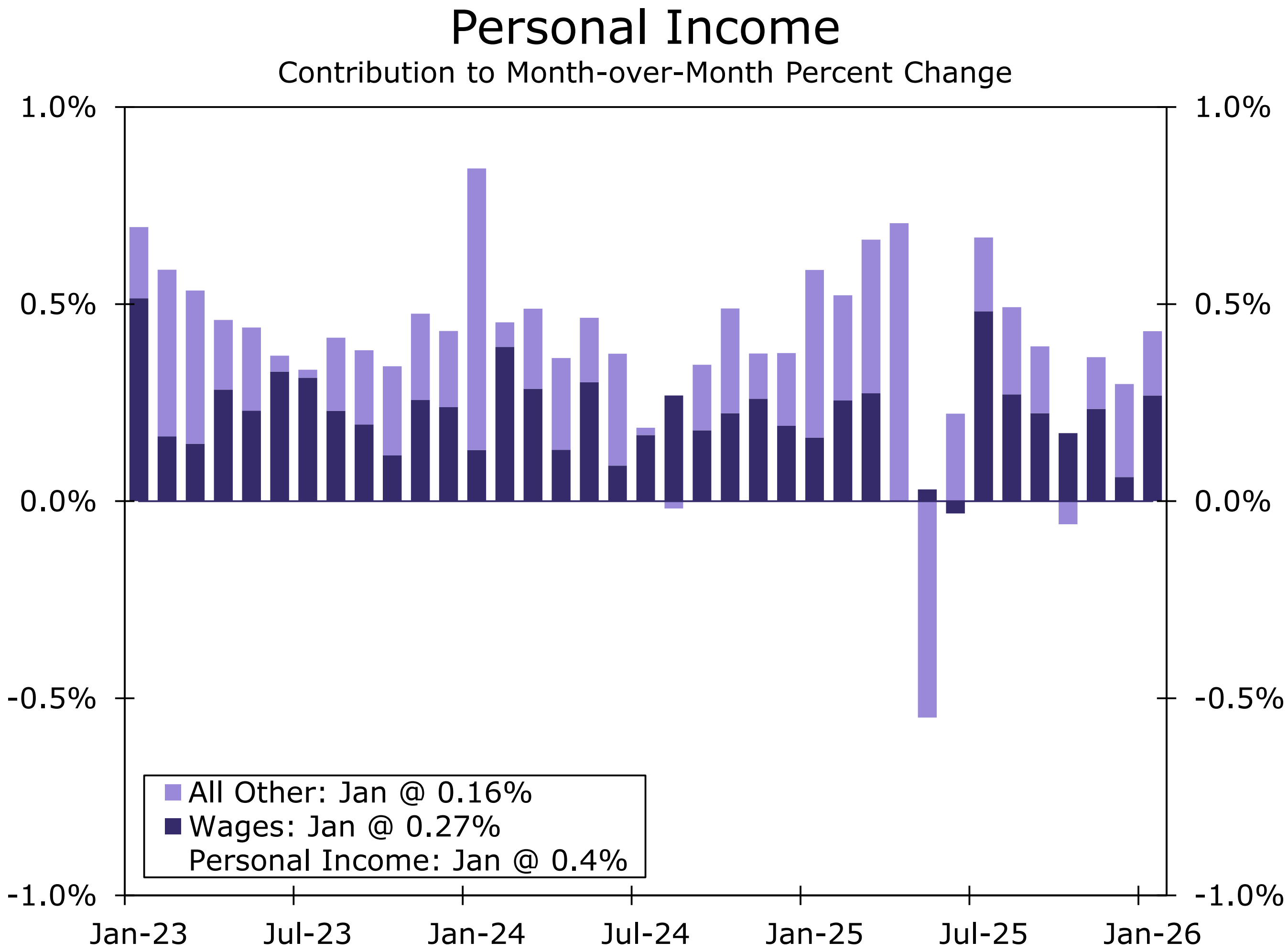
Source: U.S. Department of Commerce and Wells Fargo Economics

Pop in Wages, but Signs of Caution in Spending

As markets remain keenly focused on the conflict in Iran and potential domestic impact, the January personal income & spending data feel even further out of date. They're still important in terms of monitoring the state of the consumer, and show households entered the year with fairly sturdy spending momentum. But under the surface a renewed slowing in discretionary spending suggests some cautious behavior among households, even ahead of the recent oil-price shock.

Real personal spending rose 0.1% as goods spending slipped (0.4%) and services consumption expanded (0.3%). At first pass, the fastest pace of services spending in four months is encouraging and signals resilience despite the weaker retail sales print last week.

While that remains true, the main discretionary services components (transportation services, recreation services and food services & accommodation) all slowed during the month. As we can see in the nearby chart, the broader pace of annual discretionary spending has broken lower in recent months and signals some cautious behavior among households.

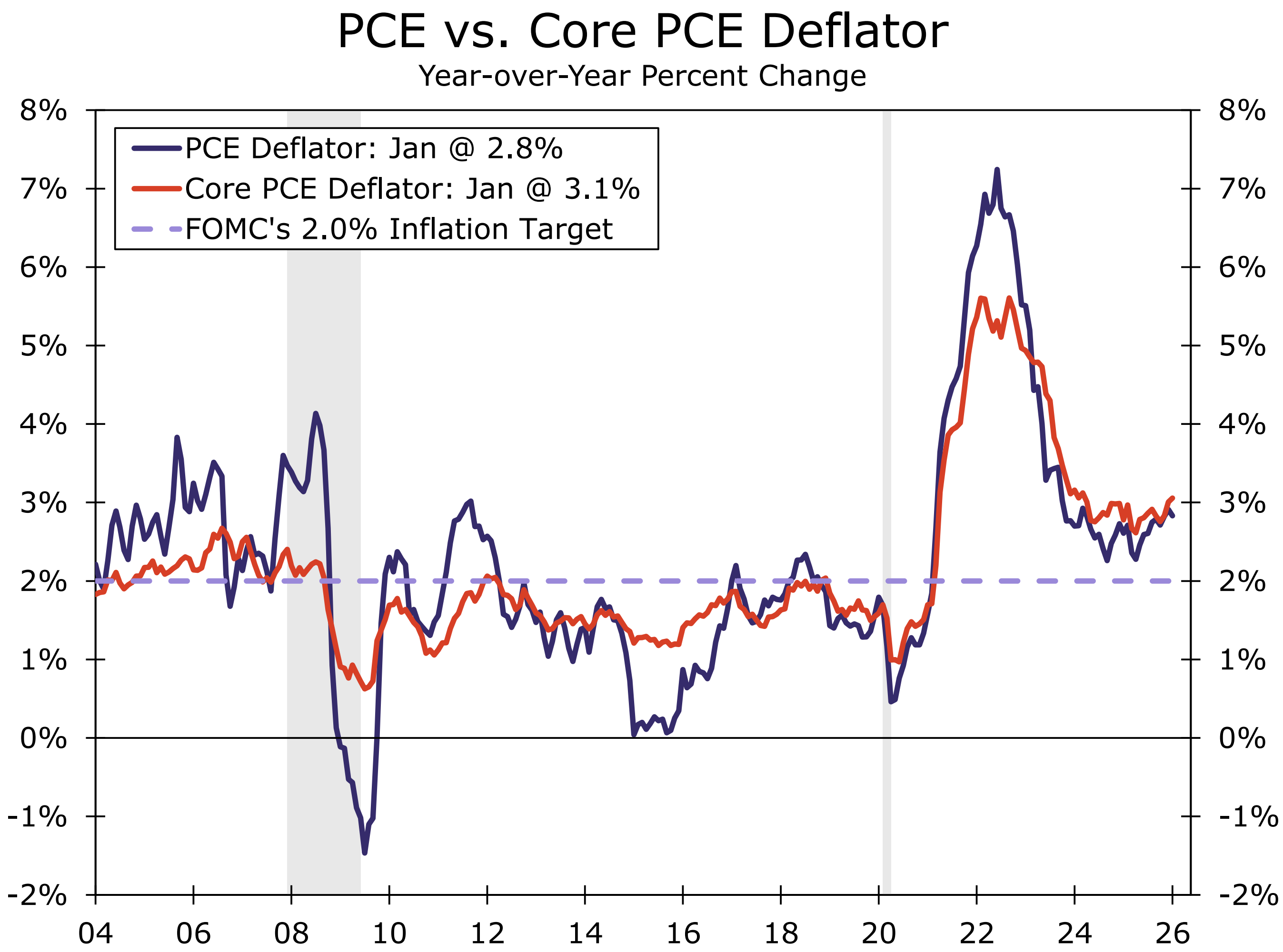


Source: U.S. Department of Commerce and Wells Fargo Economics

The 0.4% gain in personal income came in how we anticipated for total growth, but the details suggest income was a bit sturdier than we anticipated (chart). That's because most of the growth stems from a 0.5% gain in wages & salaries, or the largest monthly gain in four months, rather than solely resting on the annual cost-of-living adjustment (COLA) to social security benefits. Together these two components propelled total real disposable personal income growth, or household purchasing power, to rise at its fastest monthly clip in three years, up 0.7%.

There was little surprise on the inflation side. The core PCE deflator rose 0.4%, lifting the annual rate of inflation a tenth to 3.1% (chart). With the Consumer Price Index in for February and the ongoing conflict in Iran, these data feel stale as we brace for some upside to inflation in the coming months.

In addition to today's personal income & spending report, we got the second estimate of fourth-quarter GDP growth, which sliced the fourth-quarter GDP figure in half—a 0.7% annualized clip, versus 1.4% previously estimated. The downward revisions stemmed from lower services exports, softer structures investment, and weaker consumer services spending. The modest real spending data for January, combined with downward revisions to Q4 spending, suggest some modest downside risk to our estimate of a 1.9% annualized rate of real personal consumption expenditure (PCE) growth in Q1 and suggest PCE is tracking closer to about 1.5%.



Source: U.S. Department of Commerce and Wells Fargo Economics

Higher gasoline prices in the wake of the conflict in Iran will likely exert some modest downward pressure on household purchasing power in coming months. In a recent note, we highlight how gasoline and even broader energy-related purchases make up a smaller share of household spending today than they once did. But even so, we've marked down our consumer spending forecast in our recent update as a result and expect a slower pace of spending this year.

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Economics

March 12, 2026

Gold Overstates Narrowing in January International Trade Deficit

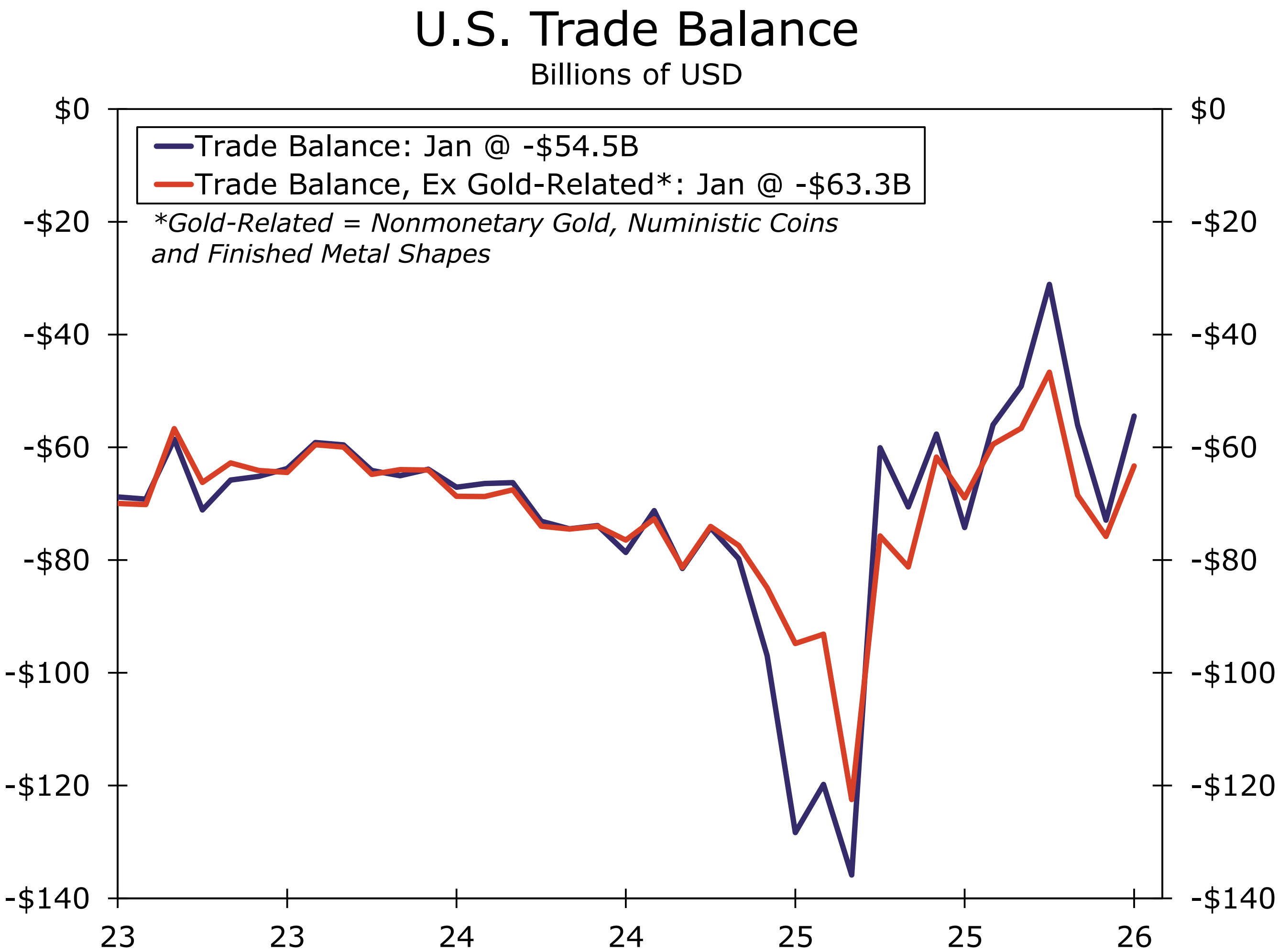
Economic Indicator

Economist(s)

Shannon Grein

Tim Quinlan

- The U.S. international trade data continue to be whipsawed by the flow of non-monetary gold and broader investment-related categories. These data won't translate directly to what is included in GDP accounting, and thus the $18.4 billion narrowing in the January trade deficit *overstates* the growth impact.
- Beyond investment-related metal flows, all the action continues to take place in high-tech related goods, with the export and import of items like computers and semiconductors rising sharply. The U.S. imports much more of these products than it exports, leading the trade deficit in high-tech related goods to widen sharply since the end of 2023.
- We continue to expect the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand for import growth is overdue and some near-term tariff clarity may lead importers to try and secure product.

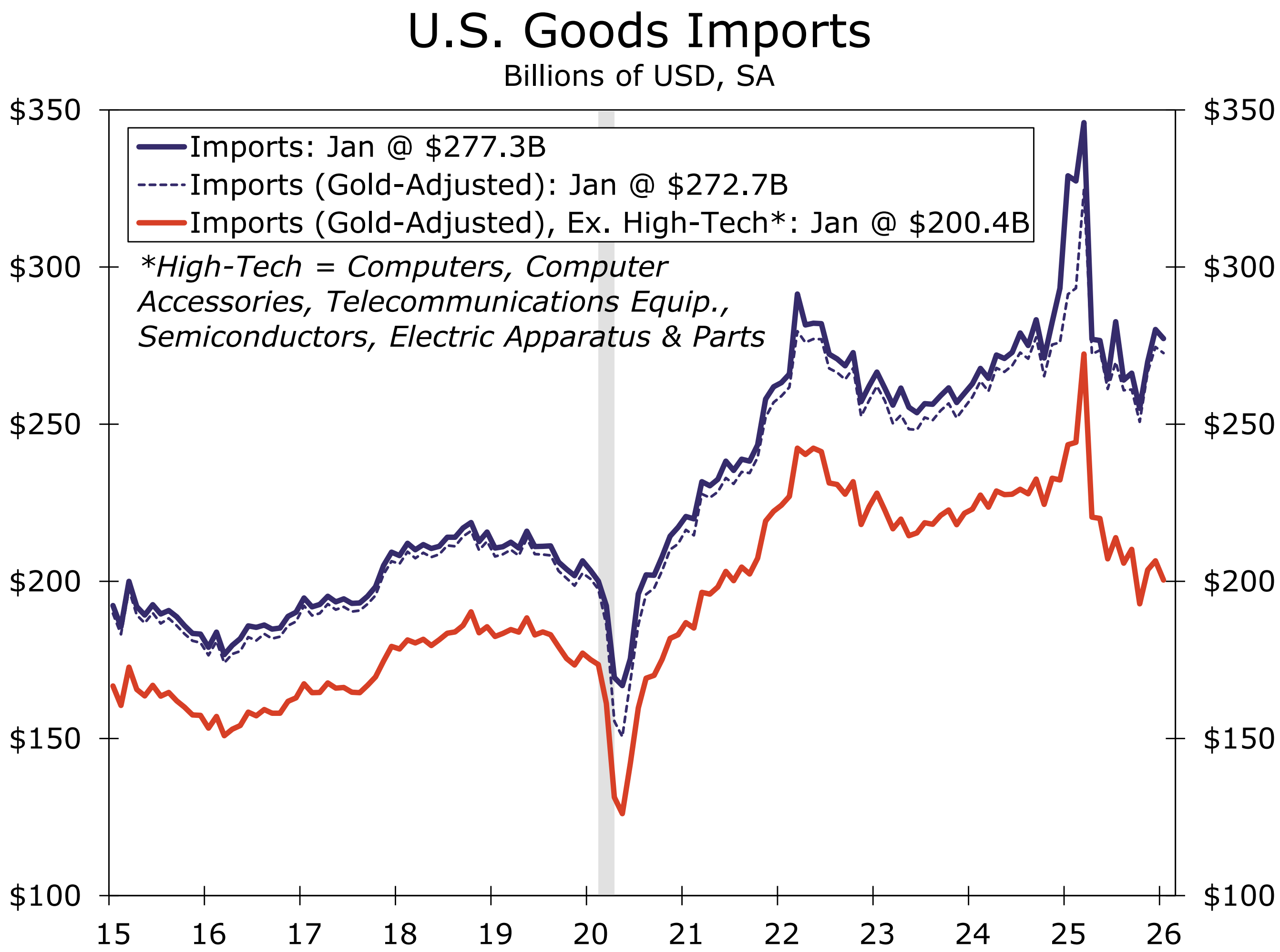


Source: U.S. Departmet of Commerce and Wells Fargo Economics

Trade Whiplash

Exports of *nonmonetary gold* continue to whipsaw the U.S. international trade deficit and suggest the recent moves are not as sharp as they appear at face value. As seen in the top chart, when you exclude the gold-related categories of trade, the international trade balance still narrowed in January, but not to the same degree as the headline data suggest. These categories are excluded and replaced by the BEA when calculating international trade flows in the GDP accounts because the way they are captured here in the monthly report more so reflects investment flows rather than growth in current production of gold or current usage of it in the production process.

In January, gold wasn't the sole thing driving exports $14.6 billion higher. *Other precious metals* rose a similar amount as gold, up just over $4 billion last month. Together these two components account for nearly 60% of the export gain. Outside metal flows, the trade story remains remarkably steady where nearly-all the growth sits in high-tech related goods. *Computers* (+$2.6B), and c*omputer accessories* ($1.6B), as well as *semiconductors* ($353M) posted impressive monthly gains.



Source: U.S. Department of Commerce and Wells Fargo Economics

Imports were much more bleak at the start of the year, dropping $2.8 billion. Here too, the story is very similar. *Non-monetary gold* was a factor, accounting for about 40% of the overall drop in imports, while the import of high-tech related products continued to outperform; *computers* (+$3.9B), *telecommunications equipment* ($1.3B), *semiconductors* ($293M). To be clear, the U.S. imports a lot more of these types of products than it exports, and the high-tech related trade balance has widened sharply since late 2023, currently sitting around -$43 billion, about two-and-a-half times as large as it was back then.

We still look for the overall U.S. international trade deficit to widen again over the course of the year as we suspect some pent-up demand. When you peal back import growth, it was incredibly weak last year, with underlying imports running near 2021 levels (chart). We suspect many companies were judicious when it came to onshoring product amid rapidly changing tariff policy, but as consumer demand has held up, and we've seen a steady drawdown in inventory since the initial Q1 build ahead of tariffs last year, we believe firms are in need of product.

Additionally, there's been some near-term clarity on tariffs and the recent Supreme Court ruling against IEEPA tariffs may act as a catalyst for firms to secure product. We've heard this anecdotally from clients. The combination of knowing where tariffs are the next couple of months and a potentially lower burden in the wake of the current 10% baseline rate leaves some firms importing more product today in case tariffs go up again later.

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Required Disclosures

Economics

March 12, 2026

Another Decline in Permits Overshadows January's Jump in Housing Starts

Surge in Multifamily Boosts Total Starts—Permits Tell the Real Story

Economic Indicator

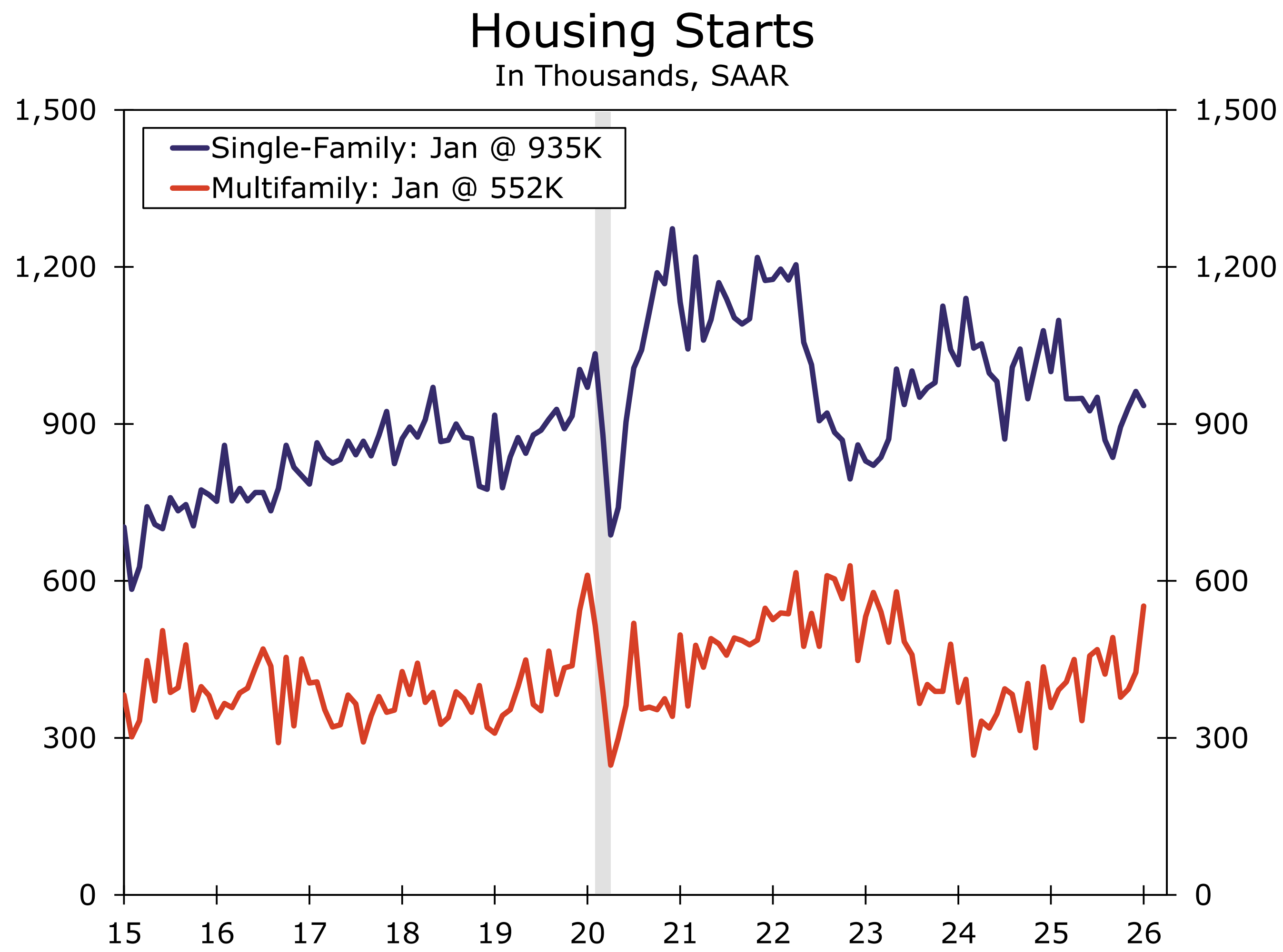
Economist(s)


Charlie Dougherty

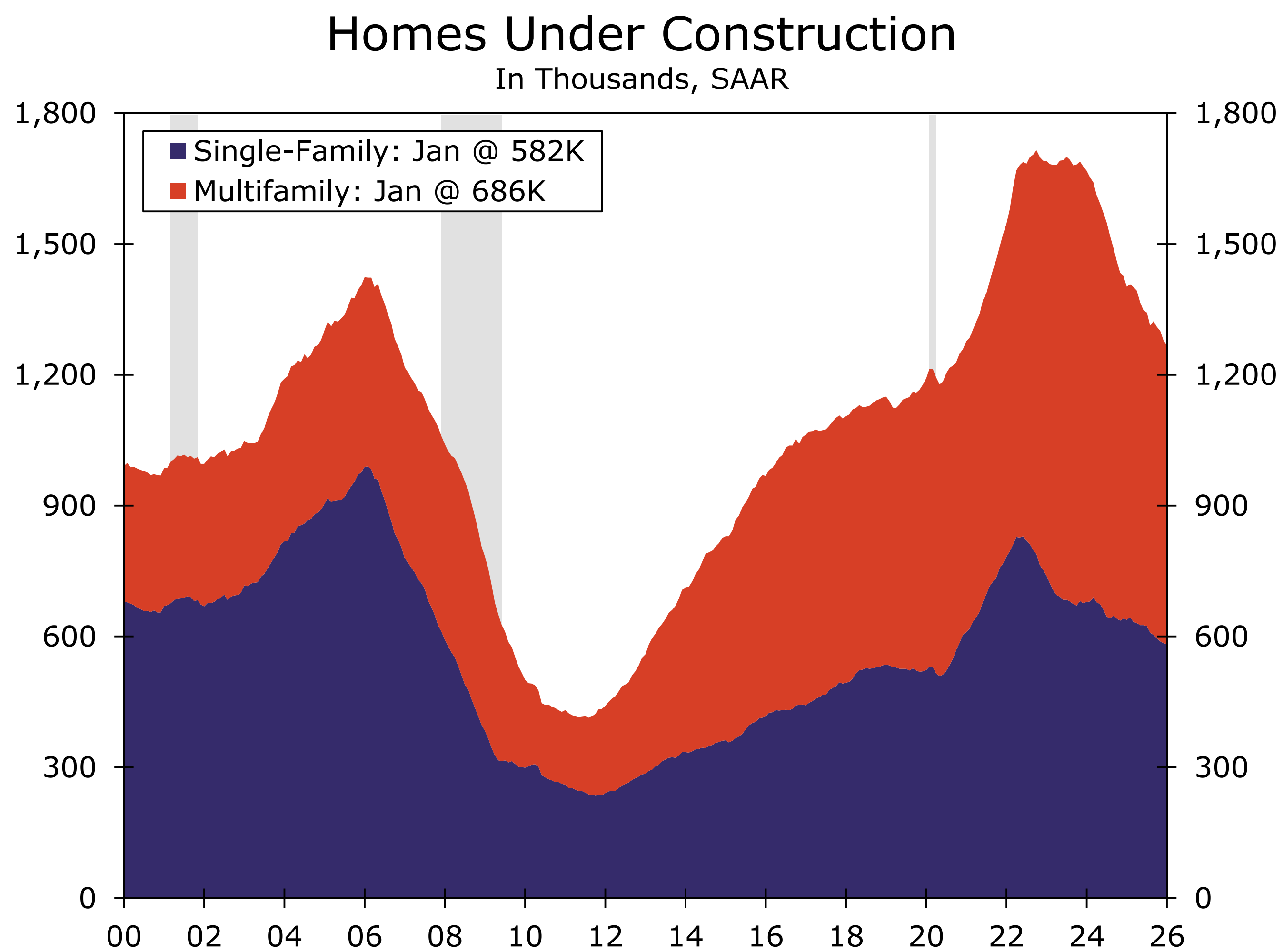

Jackie Benson


Ali Hajibeigi

- Housing starts surprised to the upside in January, jumping 7.2% over the month. A surge in multifamily starts was entirely responsible. Multifamily rocketed 29.9% to a 552K-unit pace during the month, the highest since May 2023.
- The underlying details painted a relatively weaker picture of residential construction.
- For instance, the substantial gain in multifamily needs to be taken a grain of salt. Multifamily starts tend to bounce around on a monthly basis and are often subject to large revisions.
- Single-family starts did not show a similar rise and declined by 2.8% in January. Home builders appear to be scaling back production as inventories remain elevated relative to sales.
- What's more, both single-family and multifamily permits fell to start the year. Single-family edged down 0.9% and declined by 12.4%. Total permits hit a 1.38K annual pace in January, down 5.8% year-to-year. The downtrend in permits suggests starts will remain somewhat sluggish in the months ahead.
- Meanwhile, other leading indicators of residential construction foreshadow a softer pace of single-family construction ahead. In both January and February, the NAHB Housing Market Index revealed deteriorations in buyer traffic and sales expectations, keeping overall builder confidence at a weak level.
- Although the recent pop in starts likely overstates the strength, we do believe there is scope for modest improvement in multifamily development this year. Persistent single-family affordability challenges continue to bolster rental demand. In addition, the number of apartment units under construction fell to 686K in January, its lowest in four and a half years. This suggests that the supply pipeline is thinning, which should allow the apartment market to continue to firm.



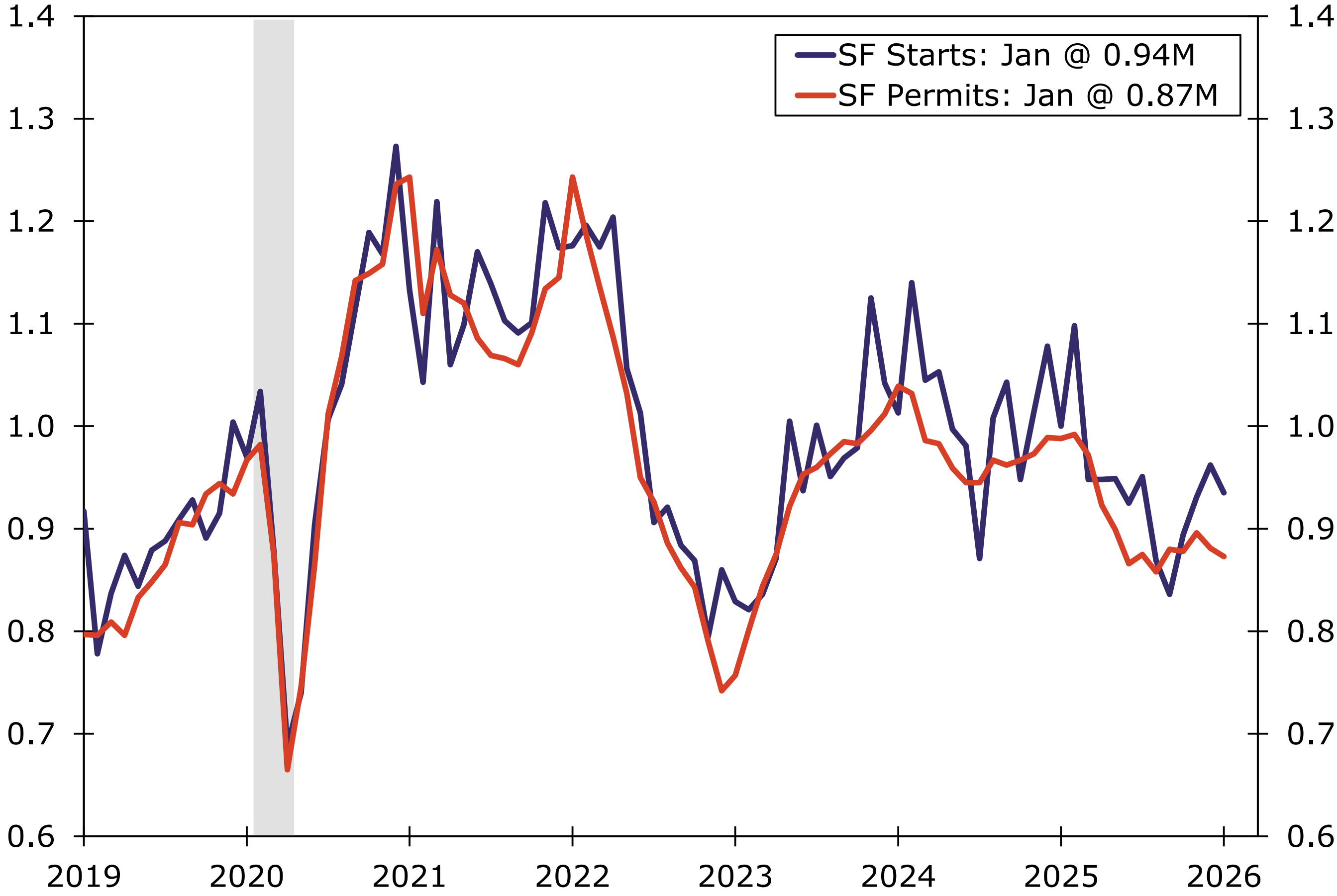
Source: U.S. Department of Commerce and Wells Fargo Economics



Source: U.S. Department of Commerce and Wells Fargo Economics

Single-Family Starts vs. Permits

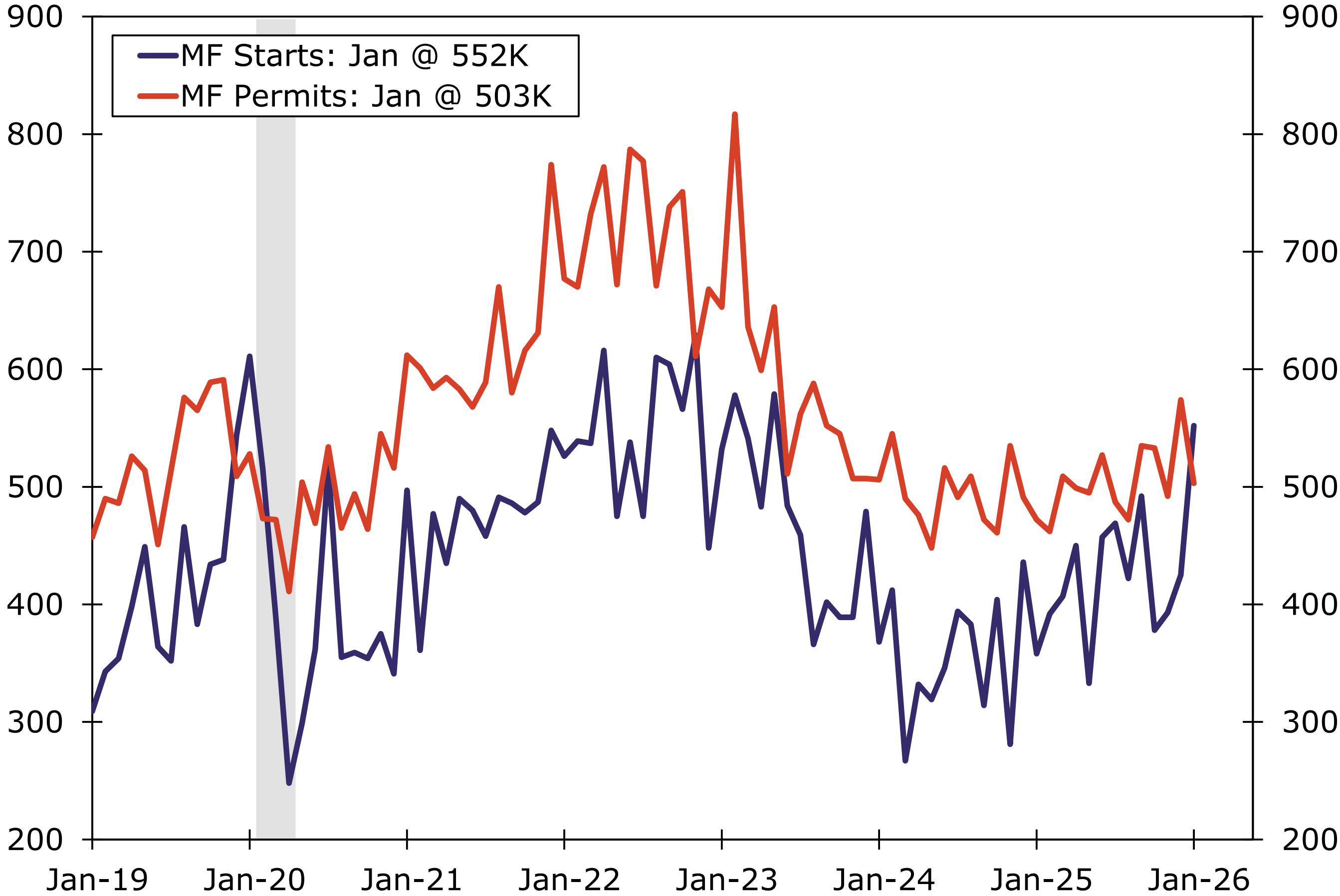
In Millions, SAAR



Source: U.S. Department of Commerce and Wells Fargo Economics

Multifamily Starts vs. Permits

Seasonally Adjusted Annual Rate, In Thousands



Source: U.S. Department of Commerce and Wells Fargo Economics

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Economics

March 11, 2026

February CPI: Disinflation Loses Traction as Energy Shock Emerges

Economic Indicator

Economist(s)


Sarah House


Michael Pugliese


Nicole Cervi

February's CPI report may already feel like old news with oil prices up roughly 25% since the end of last month. Yet the February data showed that **the disinflationary momentum exhibited since last summer is proving hard to maintain**. Headline inflation rose 0.3% in February, leaving the year-over-year rate at 2.4% but pushing the more recent three-month pace up to 3.0%.

- **Energy prices** rose 0.6% in February, essentially in line with our forecast. Oil and gas prices were already rising in February in anticipation of a conflict in the Middle East, underpinning the solid 1.1% gain in energy goods during the month. Assuming the cost of regular gas averages $3.65 per gallon for the rest of this month, we estimate energy goods will rise a more jarring ~18% in March.

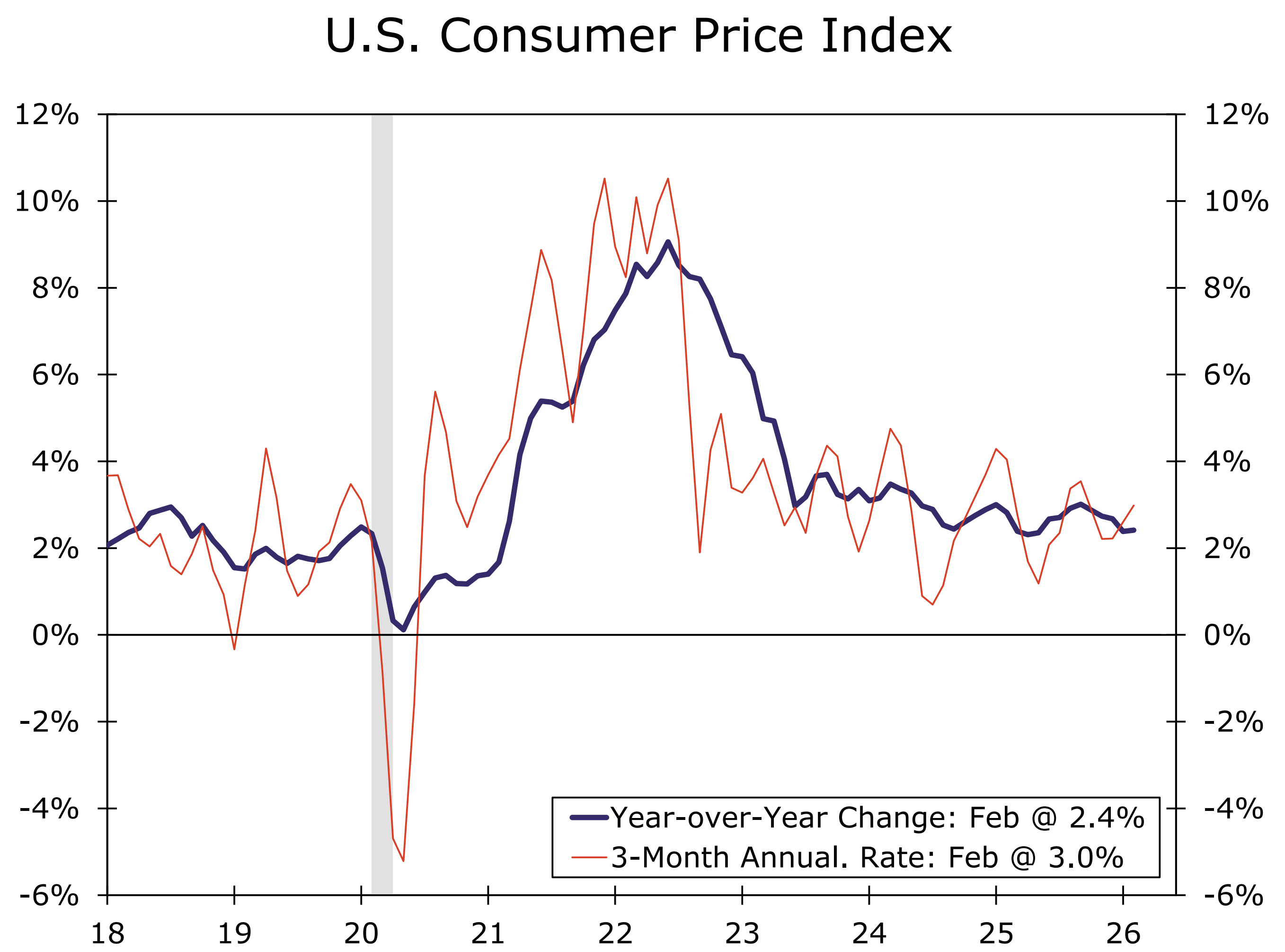
- **Food prices** came in hotter than expected in February. Grocery store prices rose 0.4%, flattered by a robust gain in fruits and vegetables pricing. On a year-over-year basis, food at home strengthened to 2.4%, drifting further away from the trends in food-related commodity and producer price measures of foods that have been receding. While the shock to energy prices puts upward pressure on food prices, we still anticipate food inflation will ebb in the coming months.

- The **core CPI rose 0.22%** in February, more or less in line with our projections for a 0.19% increase. **Core goods** came in slightly softer than we expected. This was largely a vehicles story, with used autos prices dropping 0.4% and new vehicle prices flat in the month. Core goods ex-autos, which probably better captures the pass-through to inflation from tariffs, rose 0.22%, a bit stronger than we were forecasting. Apparel prices jumped 1.3%, the highest reading since September 2018. The February data showed a similar month-on-month rise in tariff-related categories including recreation goods (+0.4%), motor vehicle parts & equipment (+0.4%) and household furnishings (+0.2%). The chart "Tariff Impact on Prices" below illustrates how these categories have seen a series of notably above-trend prints since Liberation Day in April 2025.

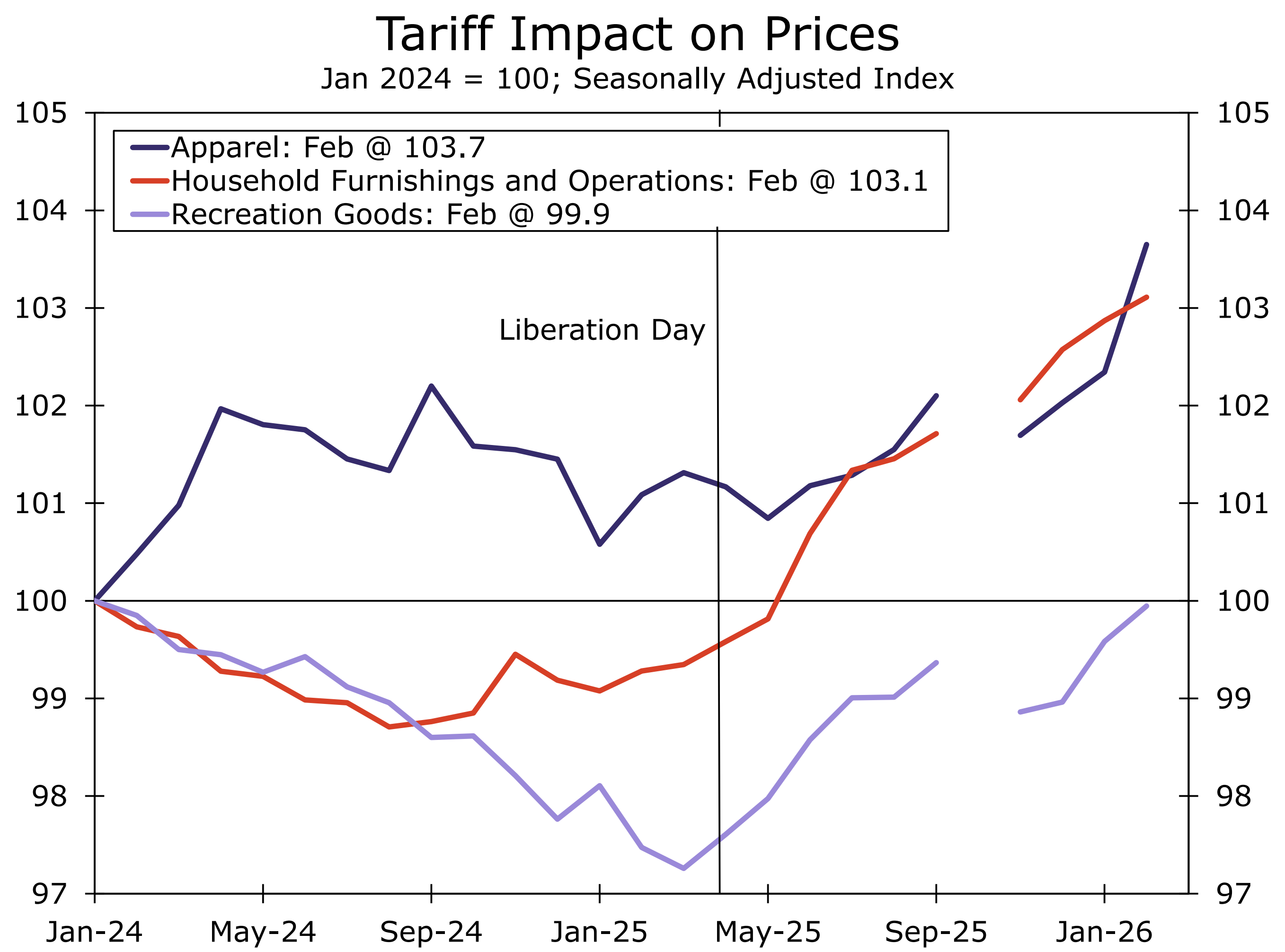
- **Core services** advanced 0.3% in February, slightly stronger than anticipated. The beat stemmed from travel-related services, which rose 1% over the month and continued a three-month streak of solid gains, and a sizable gain in medical services (+0.6%). Elsewhere, primary shelter moderated a touch, as rental costs rose only 0.1% over the month, the lowest since 2021. Spot measures of rents have been soft for a while now and suggest the CPI's measure of shelter has a little more room to moderate this year.

- The stubborn picture of overall inflation has been even more apparent when viewed through the lens of the PCE deflator. While more input details will be made available tomorrow with the February's PPI release, **today's data point to another robust increase in PCE inflation**. We currently estimate both headline and core PCE will rise a "low" 0.4% in February, with higher weightings in the PCE index for some goods components being a key source of the PCE's persistent strength of late.

- **For the FOMC**, today's report is probably a little bit more dated than is typically the case for a CPI print, with policymakers' primary focus on the uncertain outlook for energy prices and the broader inflation outlook in light of the developing conflict with Iran. On balance, today's inflation data probably does little to sway the hawks, doves and undecideds one way or the other. We published an updated U.S. economic forecast and fed funds rate outlook in a separate report this morning. Our forecast remains for two 25 bps rate cuts from the FOMC at the June and September meetings, followed by an extended hold at 3.00%-3.25%.



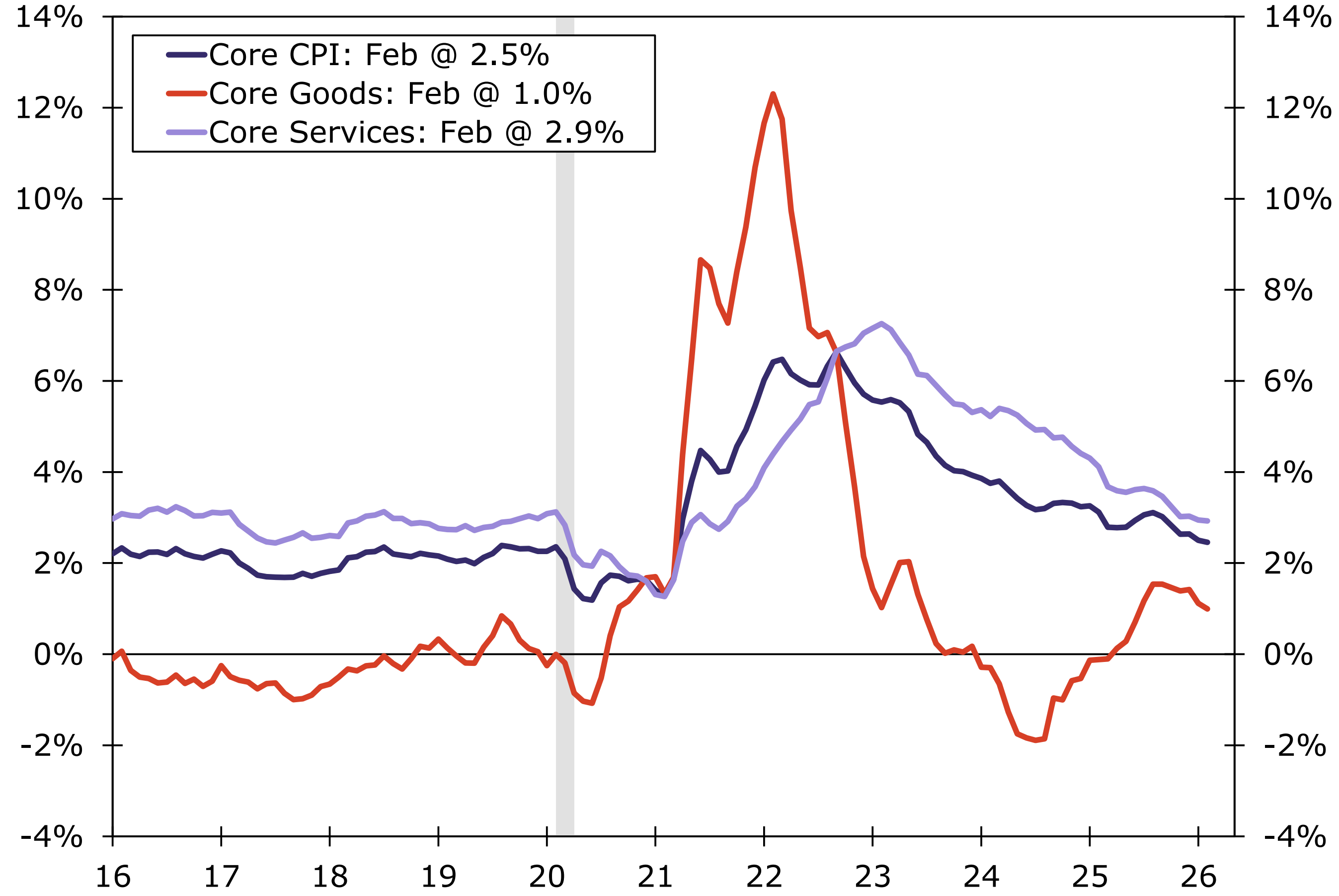
Source: U.S. Department of Labor and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics

Core Goods vs. Services CPI

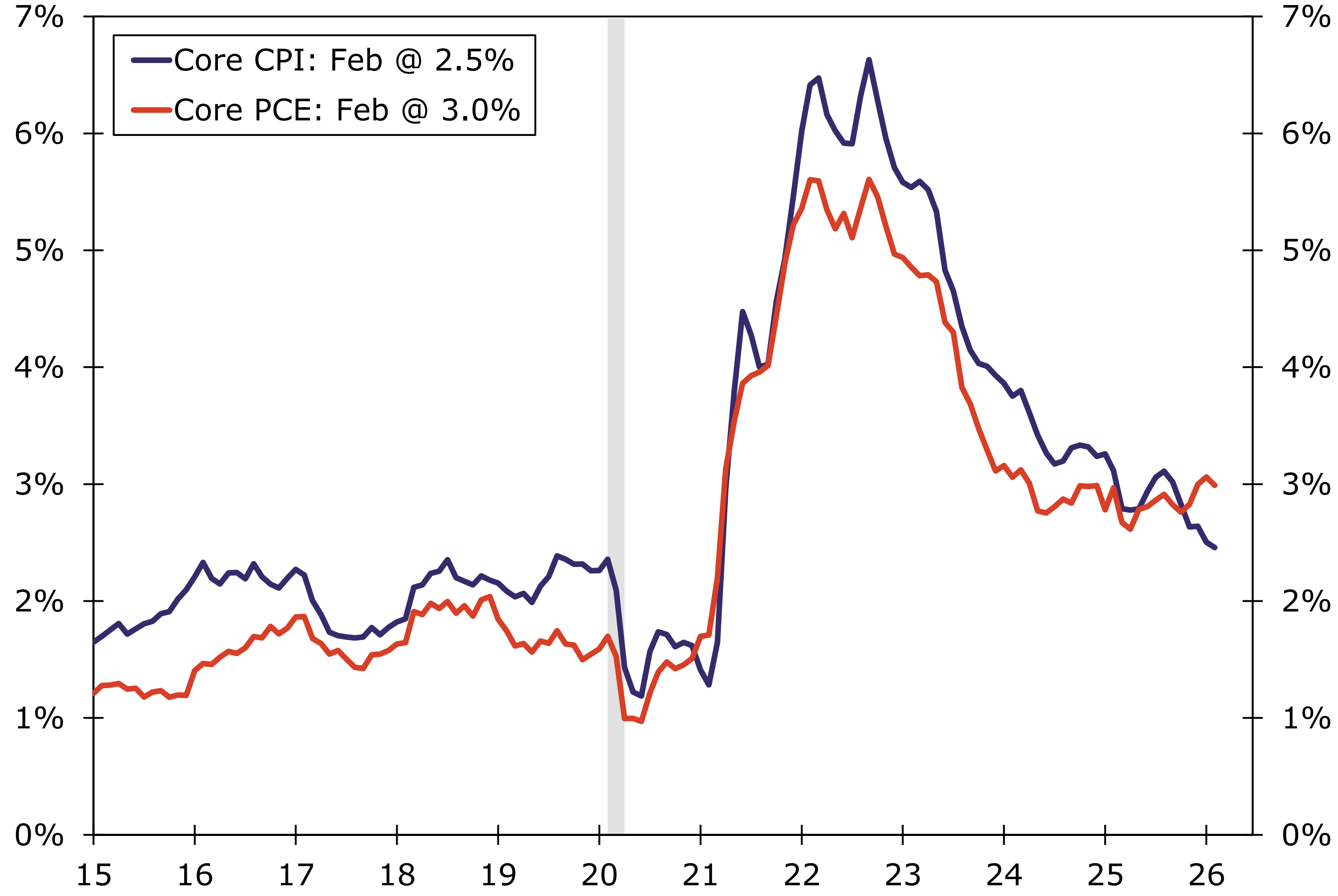
Year-over-Year Percent Change



Source: U.S. Department of Labor and Wells Fargo Economics

Core CPI vs. Core PCE

Year-over-Year Percent Change; WF Estimates for PCE in Jan-Feb



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Economics

March 10, 2026

Existing Home Sales Rebound in February but Maintain Sluggish Pace

Challenging Affordability Conditions Continue to Weigh on Resales

Economic Indicator

Economist(s)

Charlie Dougherty

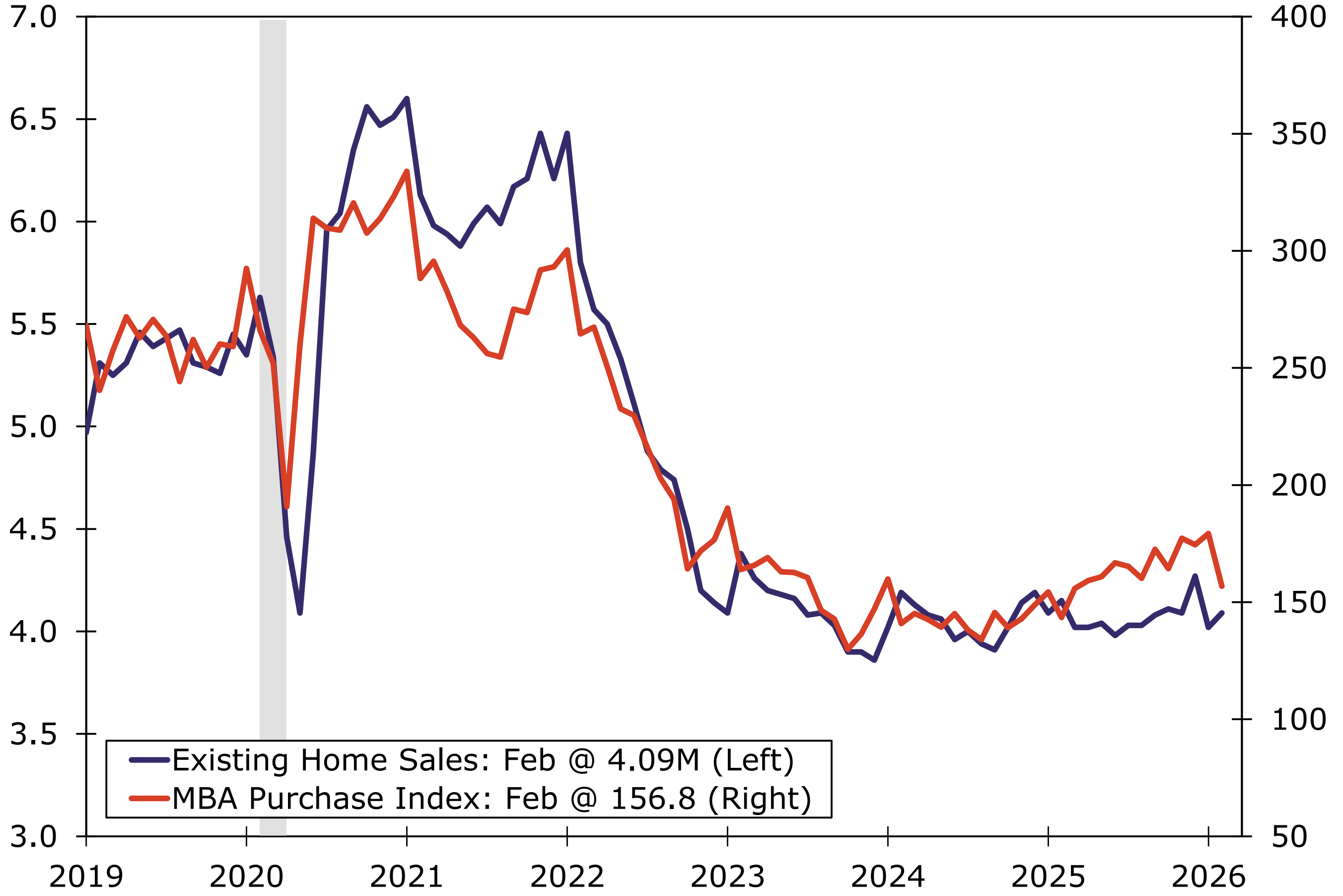
Jackie Benson

Ali Hajibeigi

- Existing home sales rose 1.7% to a 4.09 million unit pace in February, partially recovering from the 5.9% tumble in January. Harsh winter weather likely suppressed sales during both months, each of which remained notably below the trend at the end of 2025. A drop in mortgage applications for purchase during February suggests resales will remain muted in the months ahead.
- February's improvement was entirely driven by a pickup in single-family resales, which rose 2.5% over the month. Condo and co-op sales, which fell 5.3% during the month, posted their second consecutive contraction.
- Affordability, though improved around the edges, remains a significant limitation. After temporarily dipping below 6.0% in late February, mortgage rates have moved back up to roughly 6.1% according to Mortgage News Daily. This move is consistent with our forecast for the 30-year average rate to hover between 6.1% and 6.2% over the next two years.
- Single-family price appreciation moderated to just 0.2% year-over-year. Yet, annual price appreciation remains stronger in the Northeast (+4.0%) and Midwest (+2.3%) than in the South (+0.2%) and West (-2.2%).
- Single-family resale inventory is gradually increasing, in-line with typical seasonal patterns. Single-family inventory registered at 1.18 million in February, up slightly during the month but still 18% below the level in February 2019. Meanwhile, months supply rose to 3.8 from 3.6 in January.
- The overall story that we outlined in our latest residential outlook remains intact. Homebuying is likely to slowly improve over the course of the year, but should continue to run at a sluggish rate on account of adverse affordability conditions.

Existing Home Sales

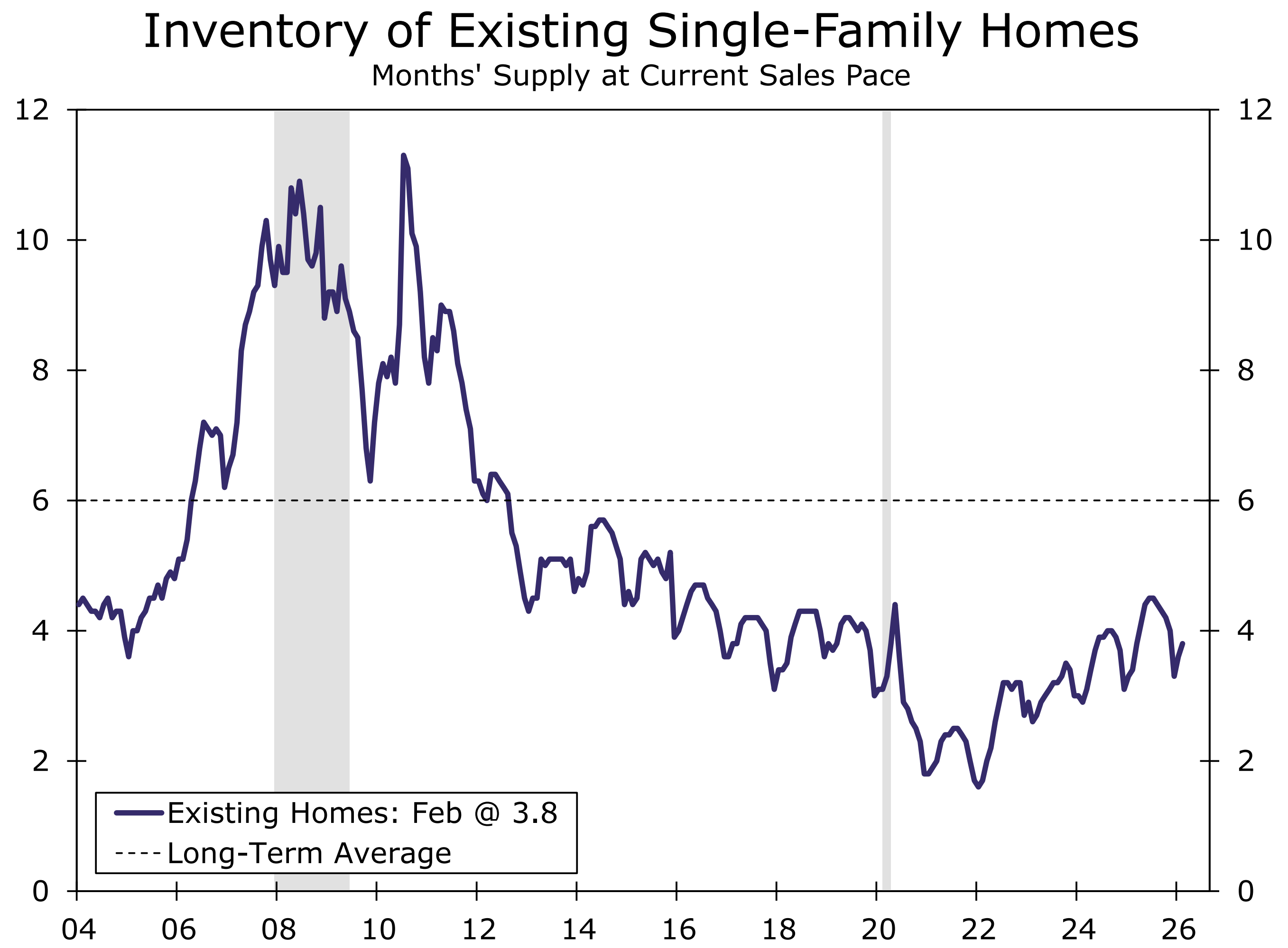
SAAR, In Millions; Mortgage Applications for Purchase



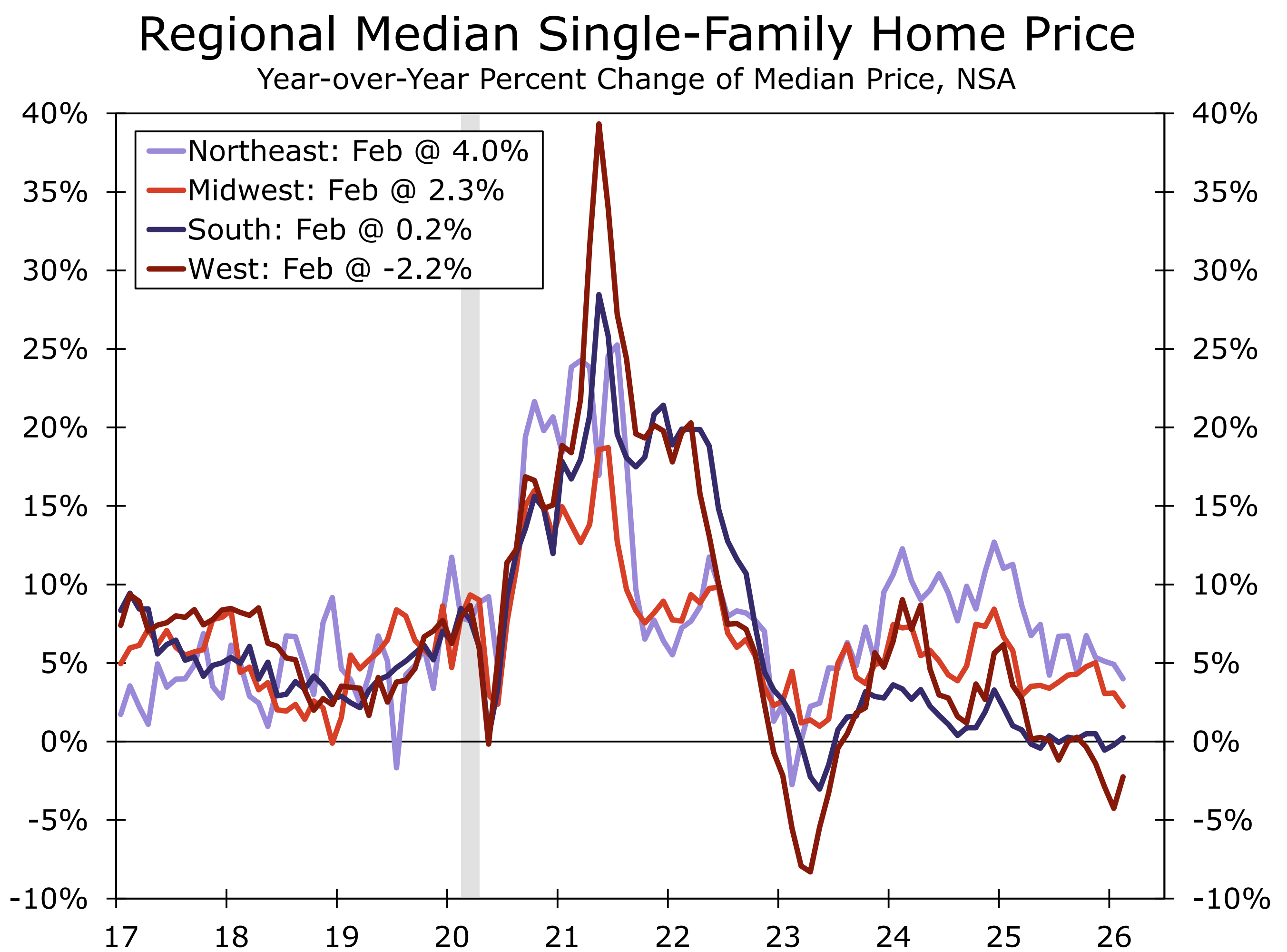
Source: NAR, MBA and Wells Fargo Economics

Freddie Mac 30-Year Conventional Mortgage Rate

Source: Freddie Mac and Wells Fargo Economics



Source: NAR and Wells Fargo Economics



Source: NAR and Wells Fargo Economics

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Economics
March 10, 2026

Small Business Optimism Adjusts Lower in February

Revenue and Sales Strength Offset by Lower CapEx and Hiring

Economic Indicator

Economist(s)


Jackie Benson

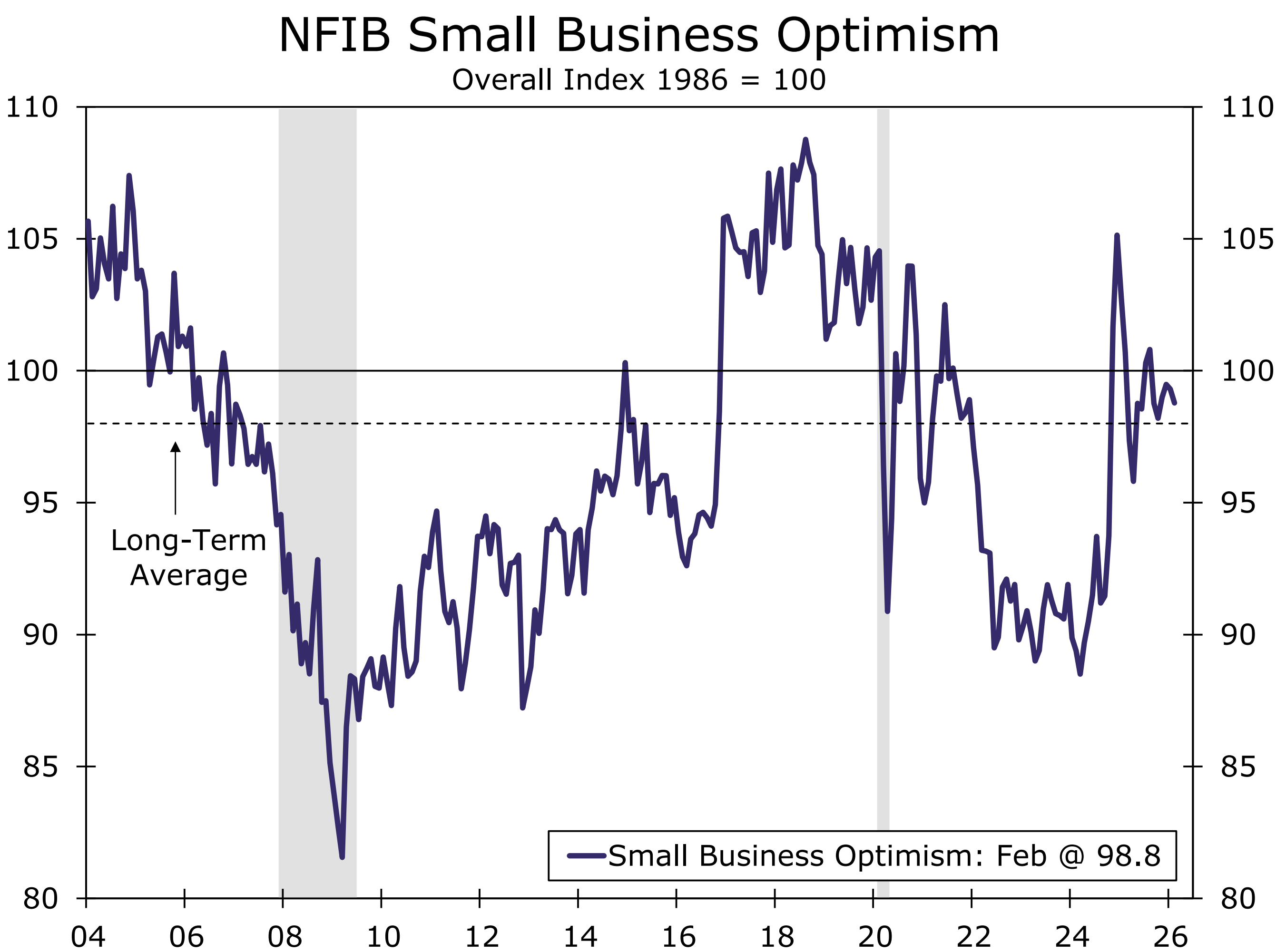

Charlie Dougherty


Ali Hajibeigi

Small Business Outlooks Remain Healthy Despite Dip in Optimism

Small business optimism fell for the second consecutive month in February as firms reevaluated their capex plans. Hiring plans also moved lower, a deterioration seemingly driven by weak worker demand as opposed to scarce worker supply. The share of firms referencing labor quality as their top problem slipped to 15% in February, marking the lowest share since April 2020.

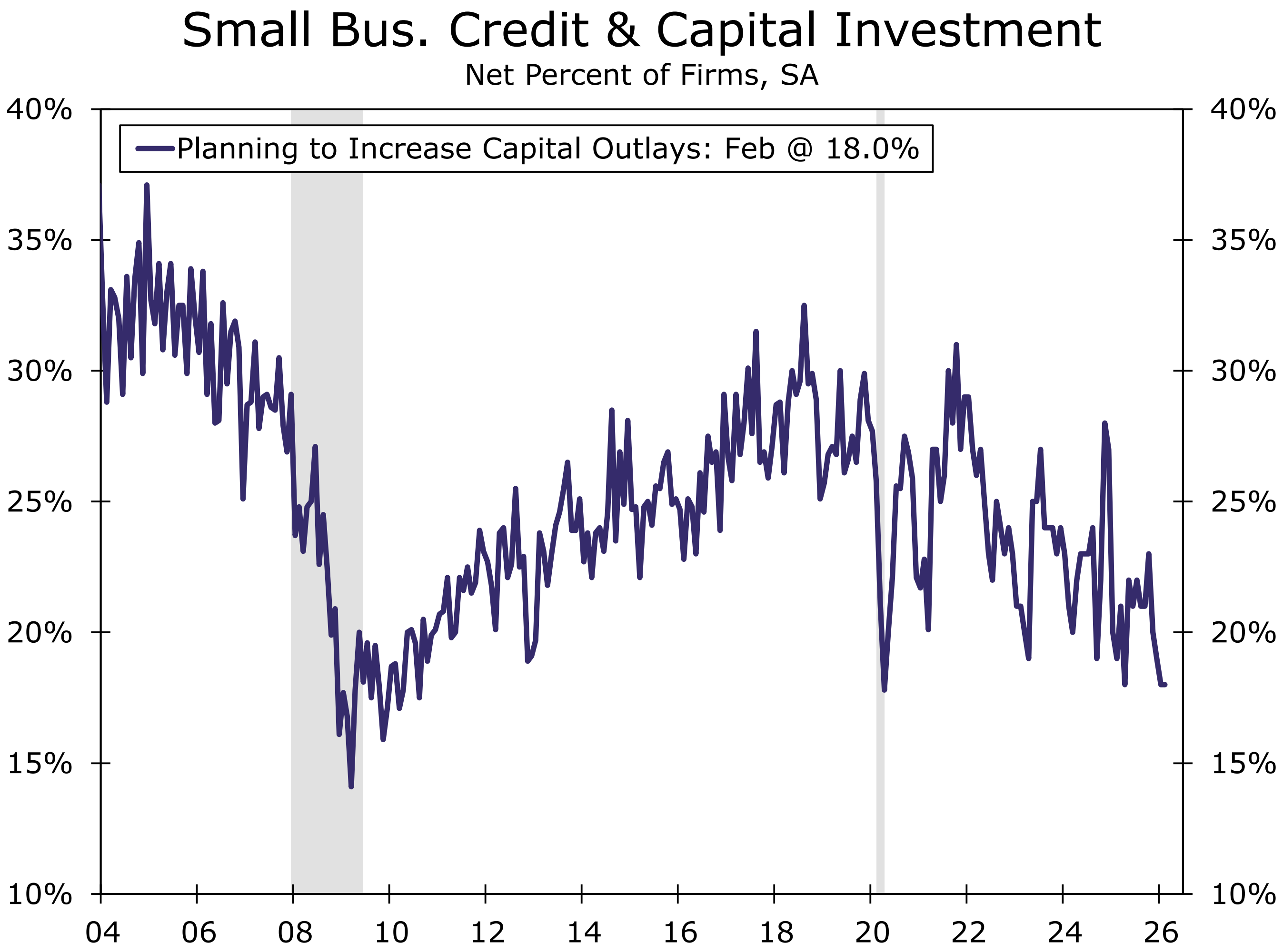
Despite evidence of ongoing labor market weakness, small firms' economic outlooks remained largely unchanged and were generally constructive. A net 15% of owners indicated that current economic conditions are favorable for business expansion and 18% expected favorable conditions over the next six months. Both of those measures are elevated over the average trend since the pandemic. Strong earnings and sales appeared to be the primary drivers, illuminating the growing gap between labor market performance and overall economic health.



Source: NFIB and Wells Fargo Economics

Capex

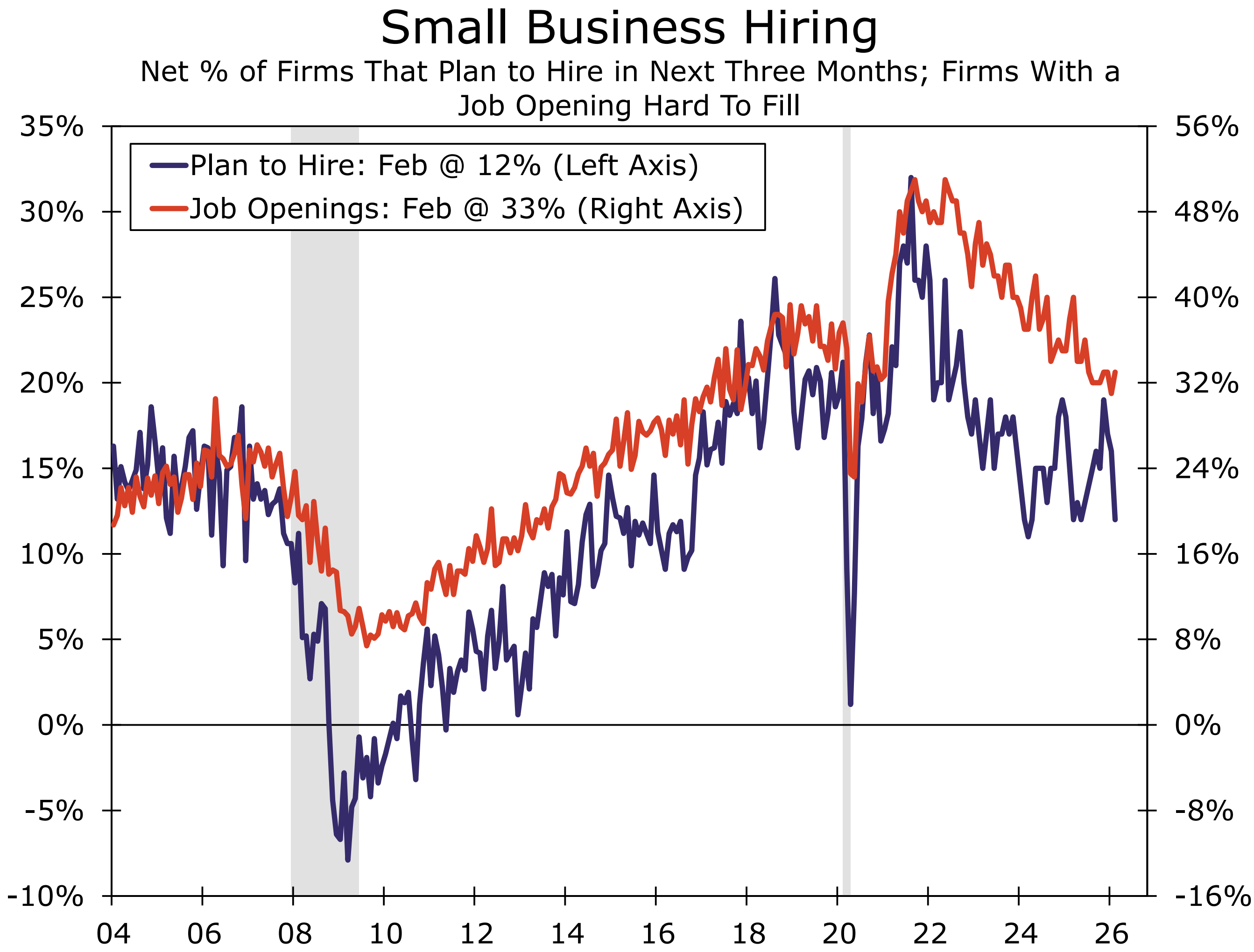
A readjustment in capital expenditures was the primary drag on small business optimism. After rising four points in January, the net share of firms making capital outlays fell back six points in February. The prevalence of future capex plans was meanwhile unchanged at 18%. Although historically weak, the sideways movement in capex plans implies a relatively more stable appetite for business investment.



Source: NFIB and Wells Fargo Economics

Labor Market

Small business hiring plans deteriorated in February, providing additional evidence that hiring is likely to remain muted over the near term. A net 12% of small firms intended to hire over the next three months, down from 16% in January and the lowest reading since May 2024. Job openings ticked up slightly to 33% but also remained historically weak.



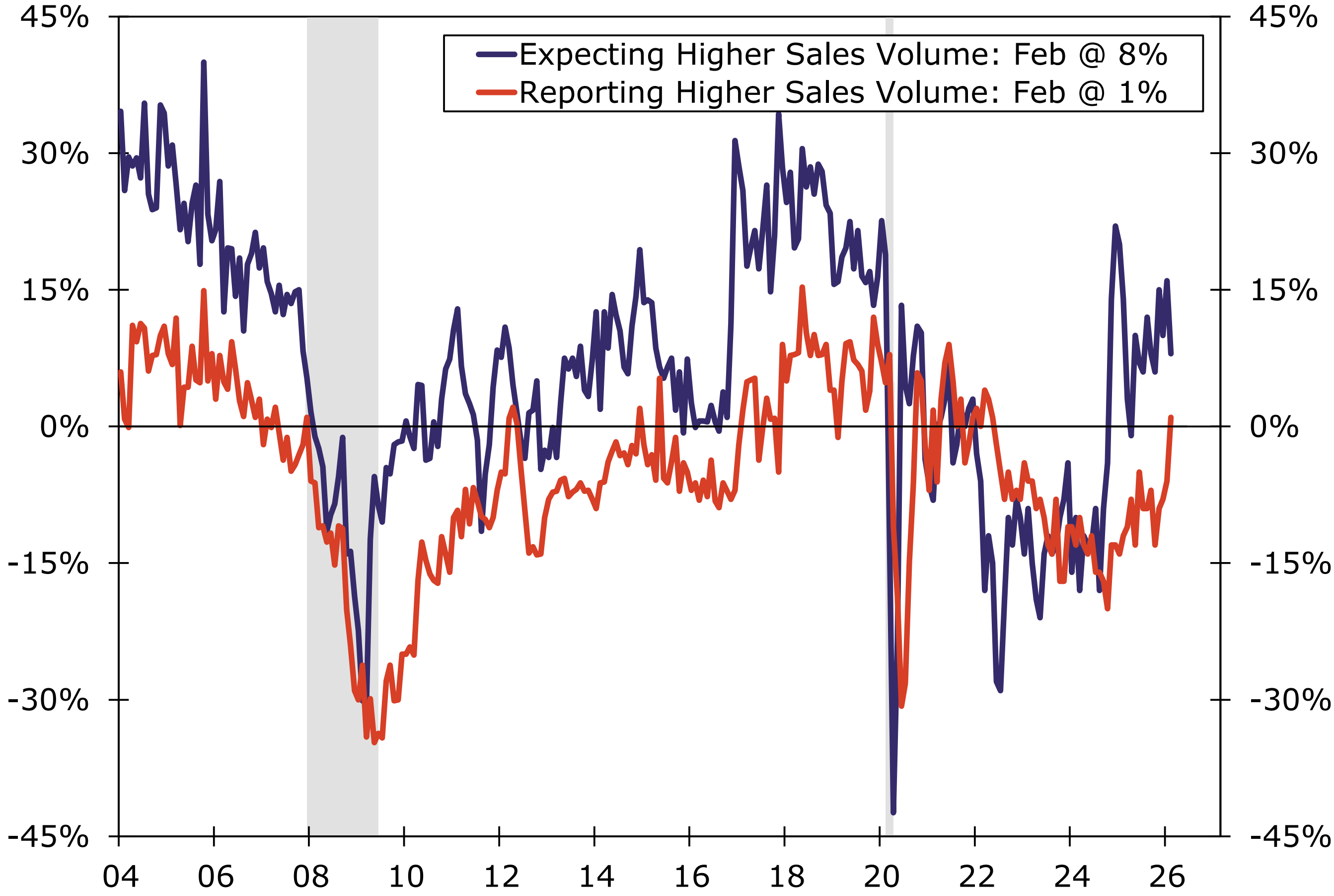
Source: NFIB and Wells Fargo Economics

Sales

In contrast to the decline in the headline optimism index, small firms' sales broadly improved in February. The net share of firms reporting an increase in sales over the past three months moved into positive territory for the first time since May 2022. Sales expectations slipped but remained solidly positive, bringing these two series back into closer alignment.

Small Business Actual Sales and Expected Sales

Net Percent of Firms



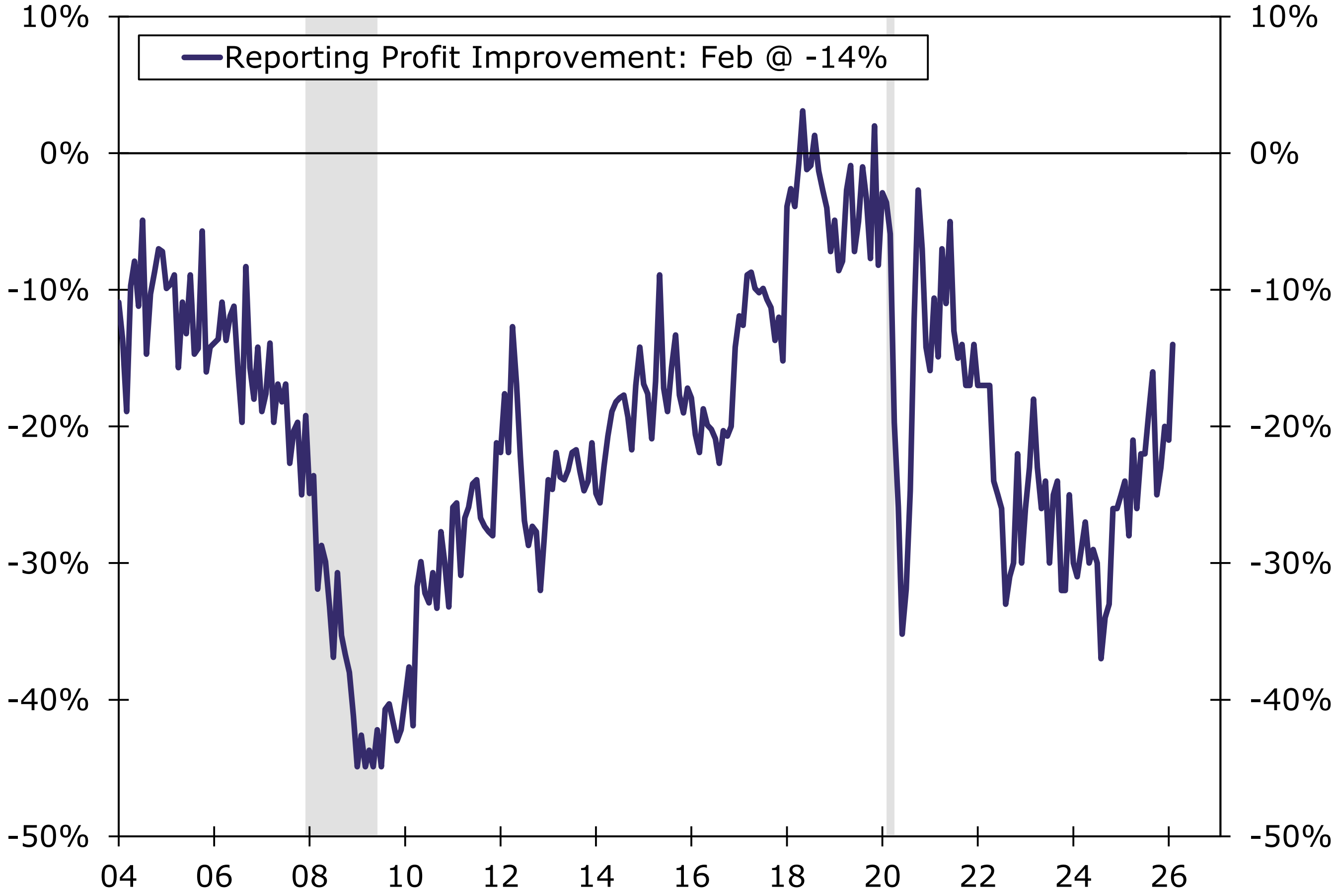
Source: NFIB and Wells Fargo Economics

Earnings

Small business earnings also shot up in February. The net percent of firms reporting an uptick in post-tax income jumped seven points to -14%. Although still negative on net, this indicator is sitting at its highest point since December 2021.

NFIB Earnings Changes

Net Percent Last Three Months Compared to Prior Three Months



Source: NFIB and Wells Fargo Economics

Inflation

Small business inflation appears stuck in a holding pattern. A net 24% of small firms raised prices and 28% planned to raise prices, remaining elevated over historic norms. While each declined slightly compared to January, these inflation indicators have essentially moved sideways over the past year.

Source: NFIB and Wells Fargo Economics

Economic Outlook

Economic outlooks were little changed in February, dipping slightly from the month prior but remaining far brighter than recent norms. Despite a broadly negative tone in industry comments, many of which highlighted higher costs for physical inputs, labor and healthcare, it appears that outlooks from small business owners align with our own expectations for economic expansion over the next year.

Source: NFIB and Wells Fargo Economics

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Economics
March 6, 2026

February Employment: What the Jobs Report Giveth, It Taketh Away

Economic Indicator

Economist(s)

Tom [Tom Porcelli]

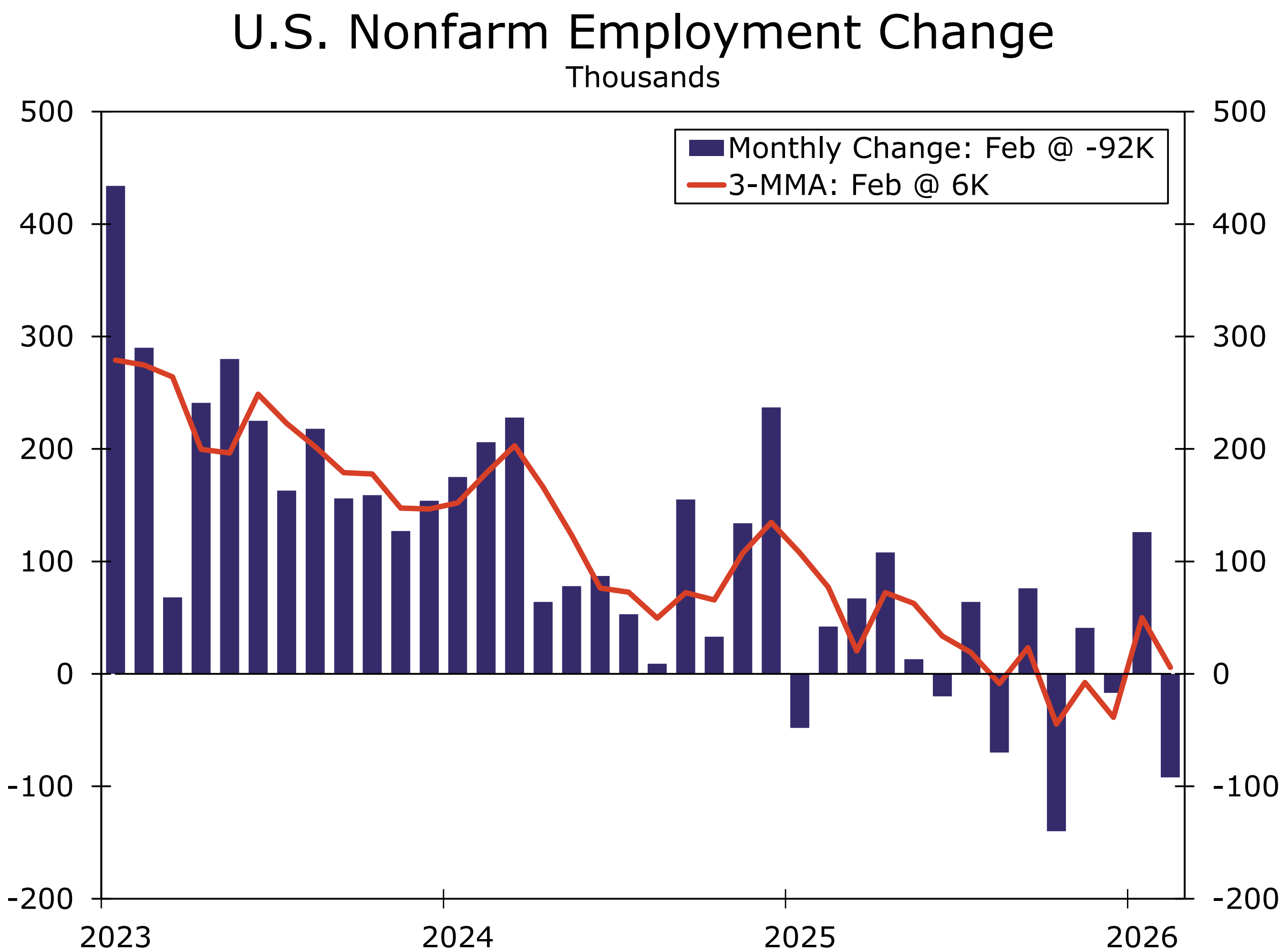

[Sarah House]


[Michael Pugliese]


[Nicole Cervi]

Solid job growth in January gave way to a 92K *decline* in nonfarm payrolls in February. Private payrolls fell by a similar 86K, the largest decline in private employment since December 2020. Some of this weakness can be attributed to one-off factors, such as poor weather and strikes. But even excluding these factors, February employment growth along with downward revisions to the prior two months leaves job growth weak. The moderation cannot be attributed fully to slower supply growth as the unemployment rate climbed to a "high" 4.4% (4.44% unrounded).

Today's data will challenge what was a growing view among Fed officials that the labor market is stabilizing, and the Iran conflict further compounds the outlook. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. Yet, the inflationary impact of the conflict in Iran makes it harder to be a dove at the moment. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.

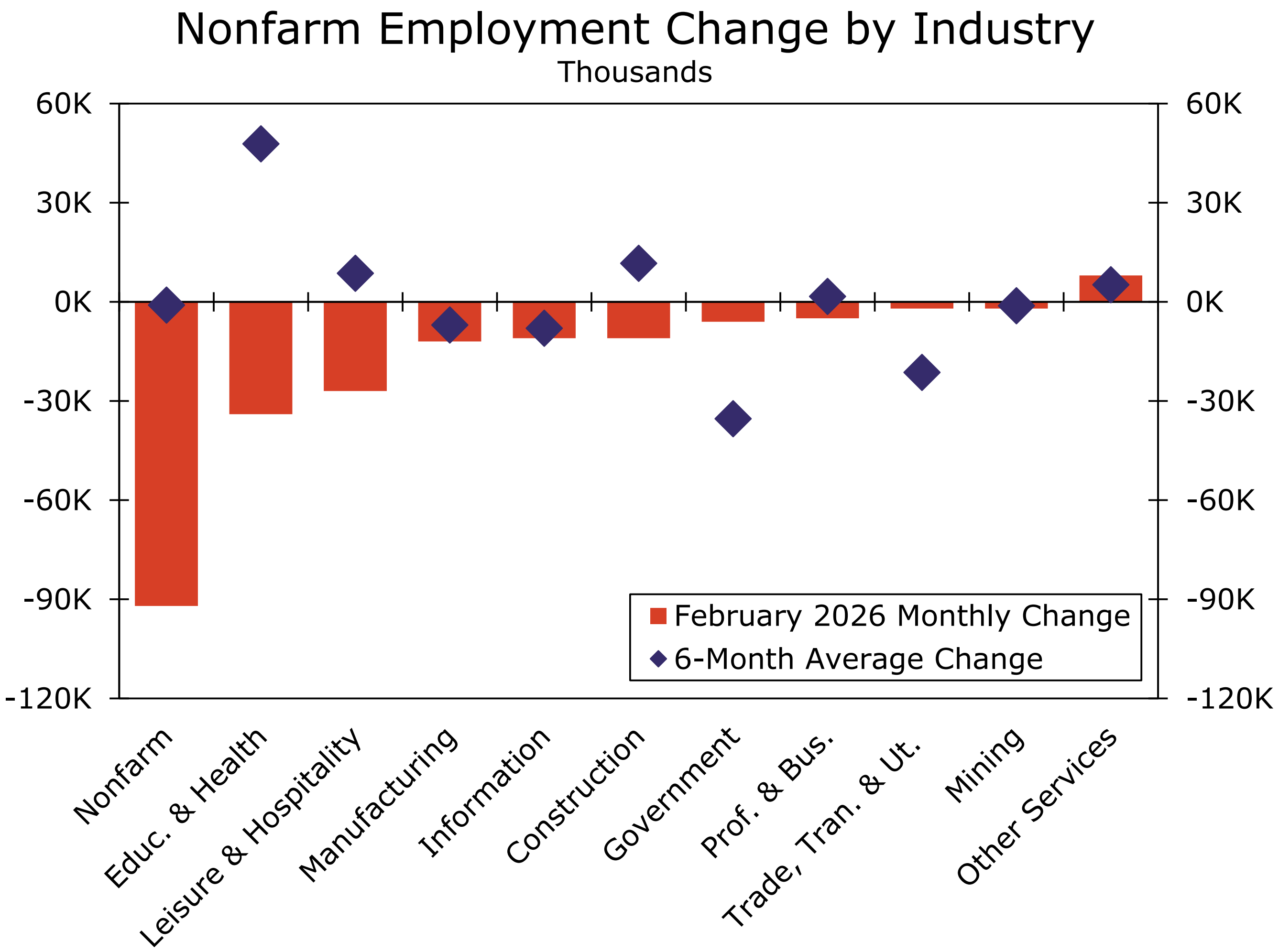


Source: U.S. Department of Labor and Wells Fargo Economics

Labor Market Stumbles in February

Any notion that the jobs market was starting to stabilize was rocked by the February employment report. Nonfarm payrolls unexpectedly *fell* 92K in February. The contraction came on the heels of downward revisions to January (-4K) and December (-65K), leaving the three-month average pace of job growth at a meager 6K last month compared to 73K headed into this report.

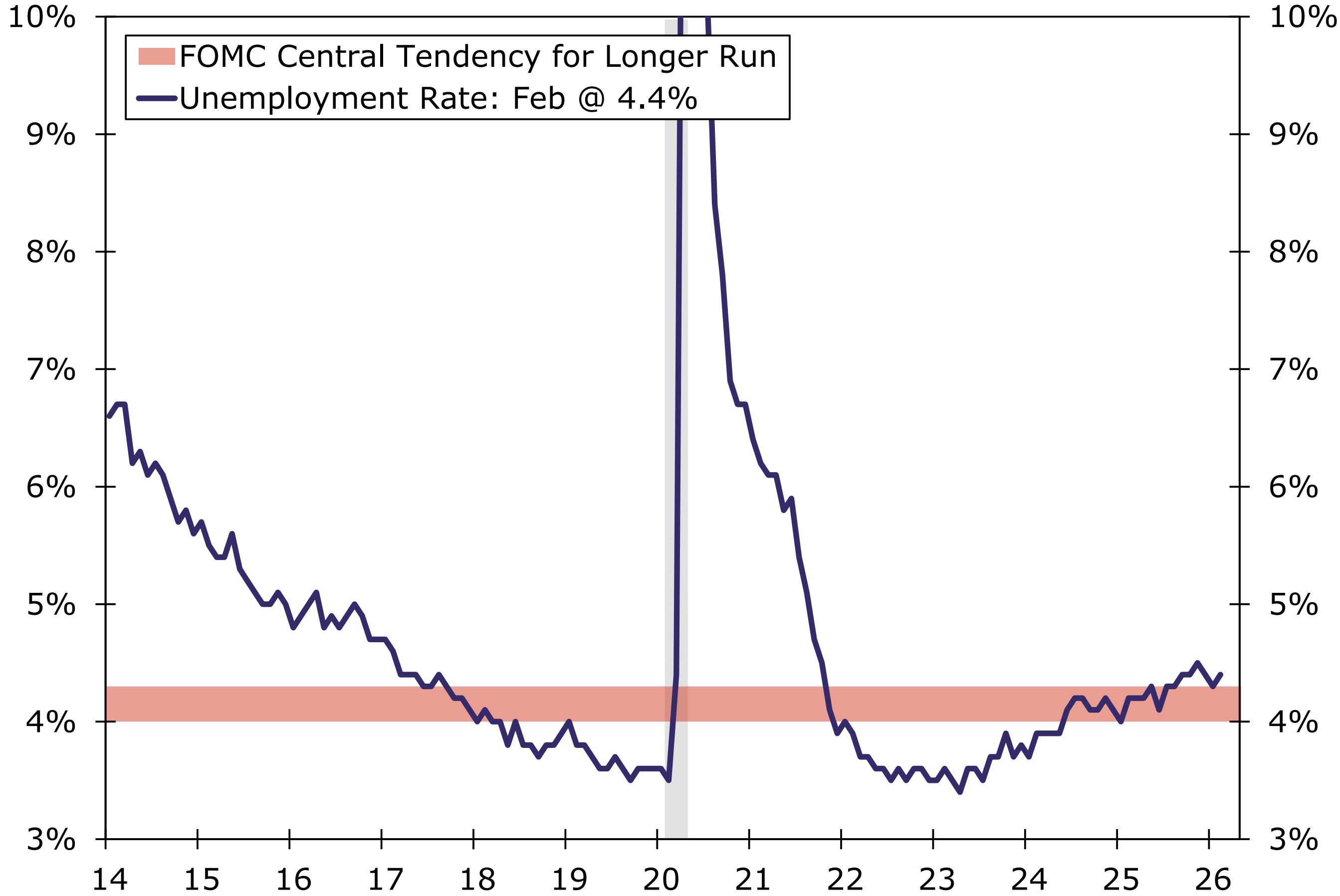
There were some idiosyncratic factors at play. Approximately 31K nurses and other healthcare professionals were on strike in February, underpinning the 19K job decline in the healthcare & social assistance industry which has been the stalwart of overall job growth. With the strike already ended, these workers will be back on the payroll in March, leading to a commensurate lift to healthcare hiring in next month's report. Elsewhere, back-to-back harsh winter storms restrained hiring in weather-sensitive industries, such as construction and leisure & hospitality, where payrolls slipped. Federal government payrolls also continue to decline, albeit the pace of contraction is slowing.



Source: U.S. Department of Labor and Wells Fargo Economics

U.S. Unemployment Rate

Seasonally Adjusted



Source: U.S. Department of Labor and Wells Fargo Economics

Slower growth in the labor supply as immigration is curtailed and the population continues to age means the economy does not need to be adding as many jobs as it once did. With a lower run-rate for job growth, it is becoming less unusual for payrolls to veer into negative territory at times, particularly when there are temporary factors that reduce hiring.

Yet the upward drift in the unemployment rate resumed in February, indicating that the slowdown in job growth cannot be entirely attributed to weaker labor supply. Unemployment rose from 4.3% in January to 4.44% in February, barely missing a return to its cycle high of 4.5% reached in November. While the climb has been gradual, the upward trend indicates that the job market's health has continued to slowly erode.

Today's jobs report puts the Fed in a difficult position. The Fed speak in recent weeks had been gradually coalescing around the idea of labor market stabilization due to a couple good jobs reports, well-behaved jobless claims, and other generally encouraging labor market data. The February employment report injects a large dose of uncertainty into this narrative, and the Iran conflict further compounds the outlook as we wrote in a separate note this week. Ultimately, the Federal Reserve cannot do much to combat higher inflation from a supply-side oil price shock. That said, although the Iran conflict may not turn most participants into hawks, it does make it harder to be a dove. On balance, we expect the FOMC to remain in wait-and-see mode, and our forecast for 50 bps of rate cuts this year remains unchanged.

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Economics

March 6, 2026

Retail Sales Start Year on Decent Note, February Looks Weaker

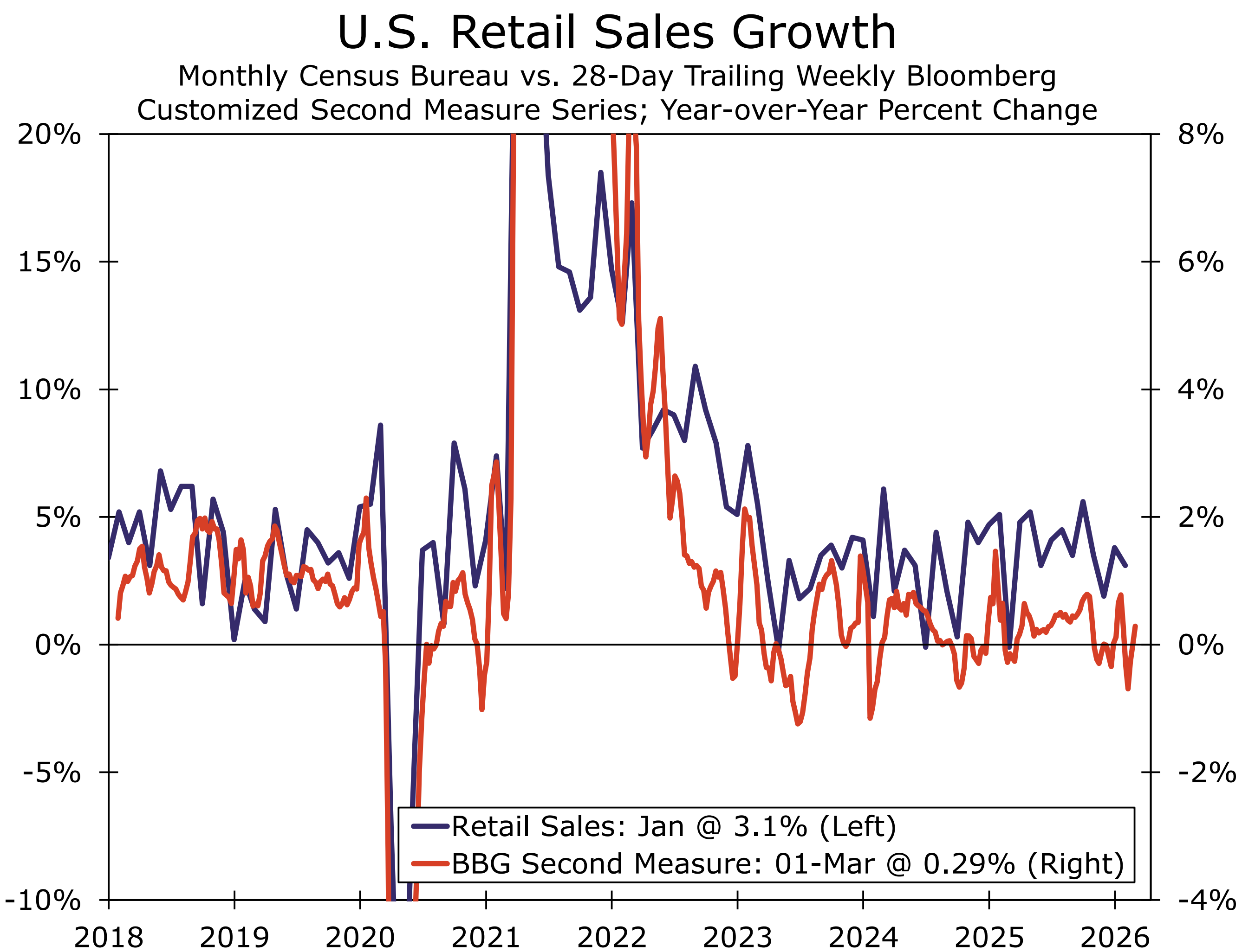
Economic Indicator

Economist(s)


Tim Quinlan


Shannon Grein

Retail sales started the year on a decent note, but early signs of February consumption suggest some more-recent weakness. The drop in headline sales was traced mostly to a decline in auto and gasoline sales, whereas control group sales rose 0.4% with upward revisions to past data. After what looks to be a weather-induced slowdown in February, we expect consumption to recover into March as higher tax refunds begin to more meaningfully lift spending. One big caveat will be how gas prices evolve in the wake of the conflict in Iran with households sensitive to the price at the pump.



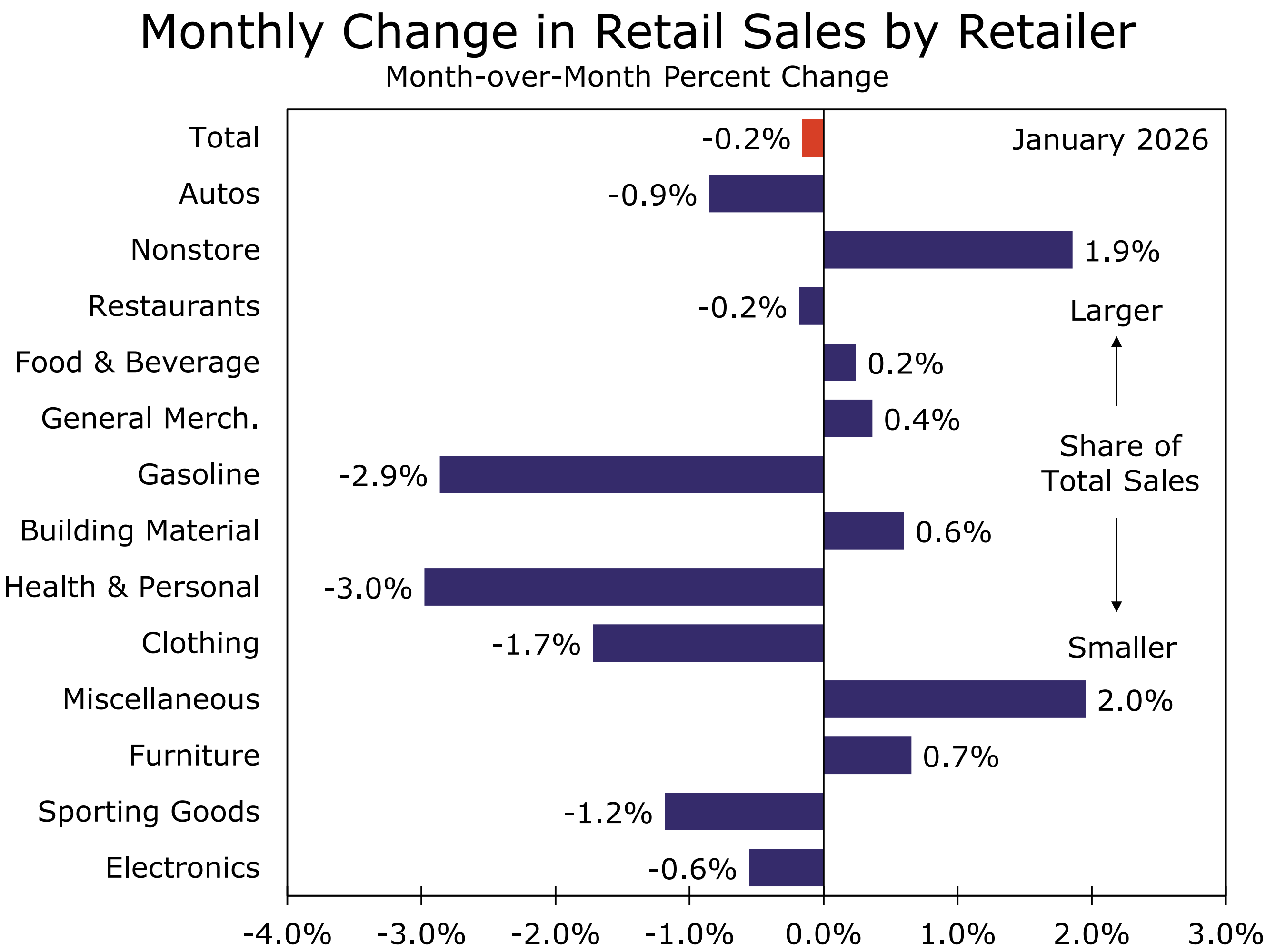
Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

Retail Sales Sturdier than Headline Suggests

The January retail sales data came in largely as anticipated and reflect a consumer that continued to spend into the New Year. While overall retail sales slid 0.2% during the month, when you strip out some of the more volatile components the control group measure of sales rose 0.4% with some modest upward revisions to the prior months of data. This suggests goods consumption started the year on a good note given this component tracks more closely with overall goods spending, as the excluded components (autos, gas, building materials & restaurants) are included elsewhere within GDP or through other source data.

One big note of caution though is that these data are even more backward looking than usual as the government continues to catch up on data releases following the historic shutdown last Fall. Retail spending in February looks a bit weaker. High-frequency data on credit card spending from Bloomberg show a weaker average year-ago pace of spending registered in February as historic winter weather across the Northeast and other parts of the country likely dented consumption.

As far as January is concerned, most of the weakness in headline sales can be traced to sales at auto dealers and gasoline stations. Vehicle unit sales slipped to their lowest pace since late 2022 in January. Meanwhile the drop in gasoline sales reflects a decline in retail gasoline prices specifically with the average daily price at the pump down about six-cents/gallon from December.



Source: U.S. Department of Commerce and Wells Fargo Economics

This weakness was somewhat offset by a pop in sales at building material stores, which was also likely at least partially price related, as the consumer price index for tools, hardware & outdoor equipment has been strong in recent months. Restaurant sales slipped 0.2% in January, which isn't an encouraging sign for broader services spending, but isn't overly worrying either, as high-frequency credit card data suggest some stabilization in restaurant spend after a drop-off toward year-end.

That said, we're not looking for much improvement in broad retail come February. Incoming data suggest some softness in activity, including: poor weather, subdued credit card spending, and weak orders activity reported by retail purchasing managers. Leisure & hospitality employment also slipped materially during the month, though there was some stabilization in travel-related measures of data like hotel occupancy and TSA throughput.

With tax refunds running ahead of last year's averages, we should start to see more cash flow materially support spending come March. One big caveat here is how the conflict in Iran evolves and its impact on domestic retail gasoline prices. Consumers are fairly sensitive to gas prices and the average price of a gallon of gasoline is already up by twenty-five cents in the first week of March compared to the average registered in February on the national level. Higher prices will boost these nominal retail figures, but would translate to lower *real*, or inflation-adjusted consumption. More cash flow stemming from higher average refunds is a factor we expect to offset spending weakness this year, but higher prices at the pump may dent confidence or sap up some of those funds.

U.S. Retail Sales: January 2026

	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26
Retail Sales (MoM)	0.1	1.5	-0.1	-0.8	1.0	0.6	0.5	0.1	-0.2	0.5	0.0	**-0.2**
Retail Sales, Ex. Autos (MoM)	0.6	0.6	0.0	-0.1	0.9	0.4	0.6	0.1	0.2	0.4	0.0	**0.0**
Control Group Sales (MoM)	1.2	0.5	-0.2	0.3	0.9	0.5	0.7	-0.2	0.5	0.2	0.0	**0.4**
Real Retail Sales (MoM)	0.0	1.8	0.0	-0.7	0.7	0.6	0.1	-0.4	--	--	-0.2	**0.0**
Retail Sales (YoY)	3.9	5.1	5.0	3.4	4.4	4.1	5.0	4.1	3.2	3.2	2.4	**3.2**
Retail Sales, Ex. Autos (YoY)	4.3	4.2	4.1	3.7	4.0	4.0	4.8	3.8	3.7	4.1	3.3	**3.9**
Control Group Sales (YoY)	5.7	5.4	5.2	4.9	4.7	5.0	5.9	4.1	4.6	4.8	3.5	**4.9**
Real Retail Sales (YoY)	3.3	5.1	5.1	3.3	3.7	3.3	3.6	2.2	--	1.4	0.8	**2.1**

Notes: MoM = Month-over-Month Percent Change
YoY = Year-over-Year Percent Change

Source: U.S. Department of Commerce and Wells Fargo Economics

Economics Group

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Economics
March 4, 2026

ISM Services Signals Broad Improvement in Demand Conditions

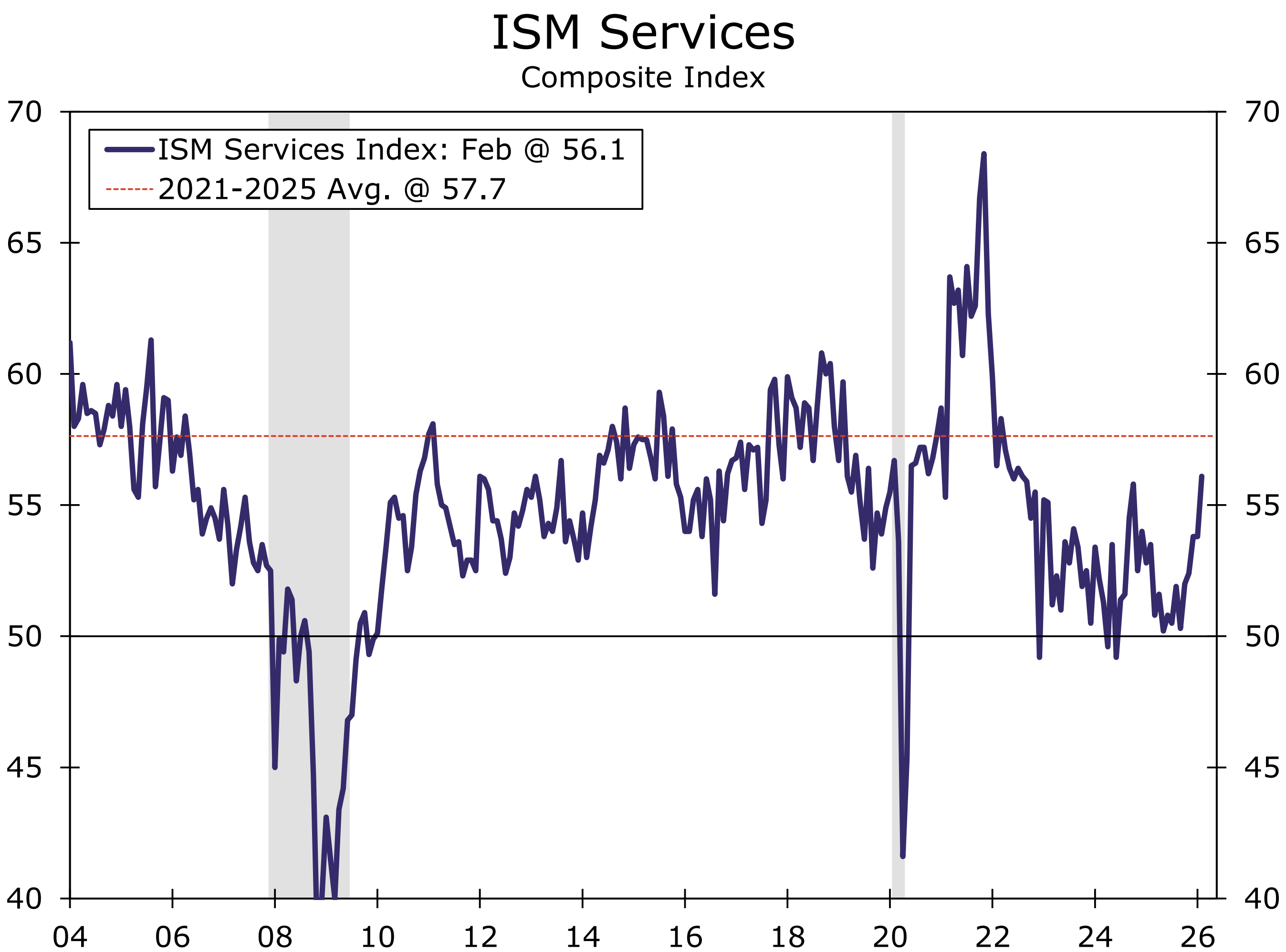
Economic Indicator

Economist(s)


Tim Quinlan


Shannon Grein

The February ISM Services Index leaped to its highest level in three and a half years amid improving demand and steady conditions. A build back in inventories and move higher in order backlogs across the sector are additional signs that demand continues to ramp back up after an uncertainty-induced softening in the middle of last year. Some service-sector firms are also adding headcount as a result of an anticipated pickup in activity, and while higher prices remain a burden for most businesses, the ISM suggests cost pressure isn't getting materially worse. The bottom line: service sector conditions are improving as businesses see their way through steep levels of uncertainty.



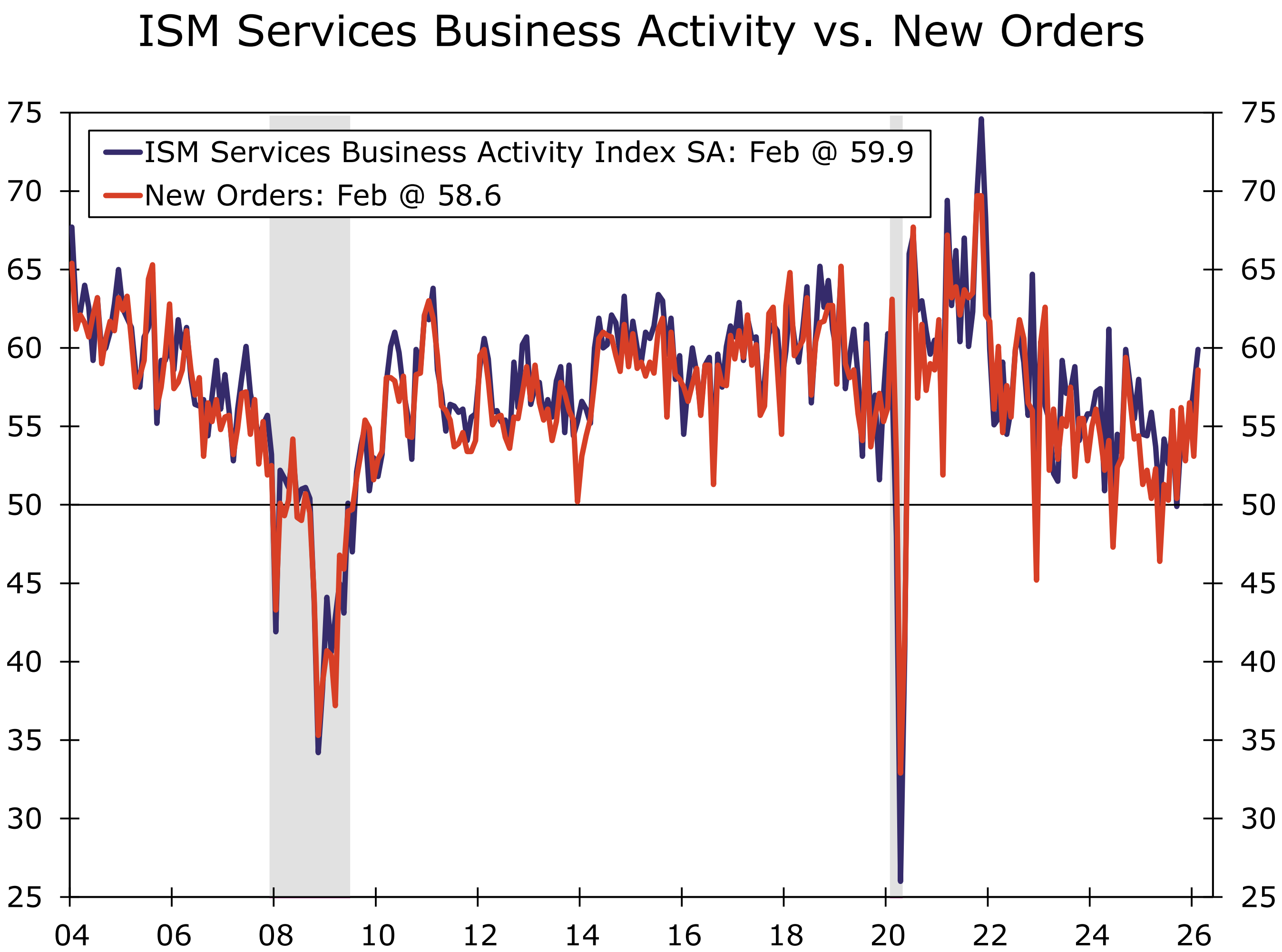
Source: Institute for Supply Management and Wells Fargo Economics

Services Sector Improvement

The ISM Services Index rose to 56.1, or the highest index reading in three and a half years in February (chart). The report was good all around—activity broadened across most industries with demand conditions improving (chart); price pressure is still high but not worsening, and some comments referred to increasing employment.

Nearly all industries reported an improvement in current conditions, with the business activity index rising to 59.9. The retail industry was the only industry that reported a drop in current activity. It also reported a decline in new orders and employment in February, signaling a cooling in retail spending after a sturdy holiday season followed by a strong January. This is consistent with what we're seeing in high-frequency weekly retail credit card data from Bloomberg as well. We're not overly concerned about the softness as it may reflect poor weather conditions, and incoming tax refunds should boost consumer spending in the next couple of months.

The new orders index rose further into expansion territory with 15 industries reporting increased demand last month. One respondent comment included in the note was fairly optimistic citing "stronger consumer demands, interest-rate stabilization, improved supply chain and stronger services activity." Other comments included continued references to tariff uncertainty, cost pressure and capacity constraints while also acknowledging solid business climate and performance. Service-sector activity continues through large levels of uncertainty.



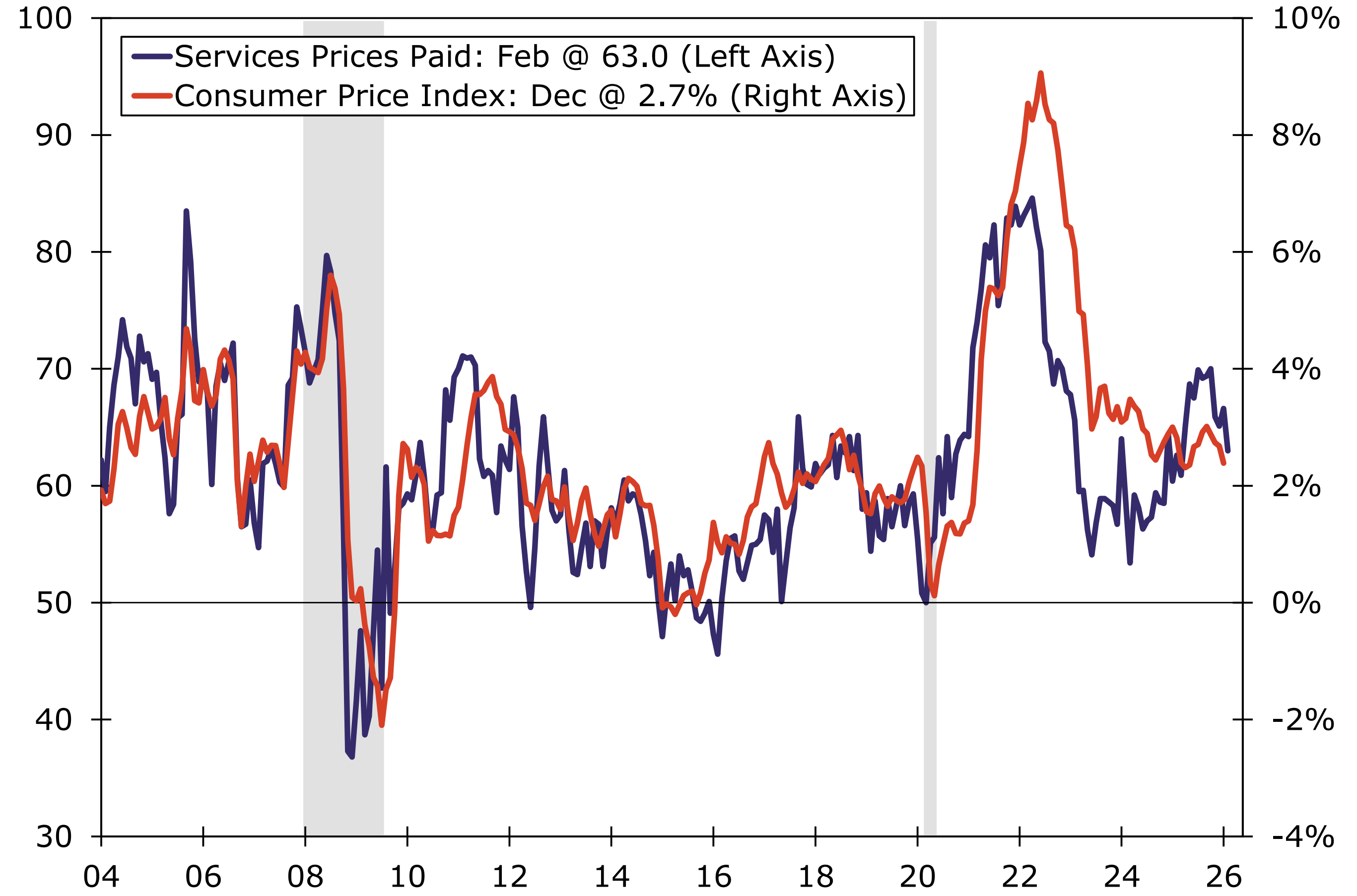
Source: Institute for Supply Management and Wells Fargo Economics

We even take the jump in the measure of inventories (+11.3) and order backlog (+11.9) as a signal of improving demand conditions after a year where most businesses operated inventory-light as a way to manage tariff uncertainty. We've heard anecdotally from some firms in the wake of the Supreme Court's ruling against IEEPA tariffs that they view these next 150 days of Section 122 tariffs as a period of reprieve, both in terms of clarity and for some in terms of tariff rates. They're importing more or bringing goods out of foreign trade zones as a result.

A larger share of respondents did, however, report feeling their inventories were *too high* in February, but a majority (76.6%) continue to say inventory levels are about right compared to operations. While price pressure still remains elevated throughout the services industry, the drop in the February prices paid index to 63.0 leaves it at its lowest in about a year. Sixteen industries reported an increase in costs, with no industry reporting a drop, but it is the direction of travel here that is most encouraging for broader consumer inflation (chart). While price pressure isn't easing, it doesn't appear to be getting much worse.

The labor backdrop also improved marginally with the index rising to 51.8. Hiring conditions still appear mixed across industries, but one respondent comment included pointing to an expected improvement in activity boosting hiring. When the full February employment report is released Friday, we anticipate the economy added around 45K net new jobs, a more moderate pace than what has been registered over the past three months.

ISM Services Prices Paid vs. CPI



Source: Institute for Supply Management, U.S. Department of Labor and Wells Fargo Economics

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